

Purpose of the penalties regime [¶14-010]

[¶14-010]

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The purpose of the penalties regime is to:

- # encourage taxpayers to comply voluntarily with their tax obligations and to cooperate with Inland Revenue (IR)
- # ensure that penalties for breaches of tax obligations are imposed impartially and consistently, and
- # sanction non-compliance with tax obligations effectively and at a level that is proportionate to the seriousness of the breach.

Types of penalties

The [Tax Administration Act 1994](#) (TAA) imposes 3 main types of penalties under the tax penalties regime:

1. "No fault" civil penalties for matters such as the failure to file a return or make a payment on time ([¶14-030](#)).
2. Civil penalties that involve consideration of the degree of culpability of the taxpayer's state of mind by reference to standard categories based on matters such as the level of knowledge of the taxpayer and the intention of the taxpayer to breach a tax law. A civil penalty is defined as:
 - # a late filing penalty ([¶14-040](#))
 - # a late payment penalty ([¶14-050](#))
 - # a shortfall penalty ([¶14-100](#))
 - # a promoter penalty ([¶14-123](#))
 - # a penalty under s [142H](#) or [142I](#) ([¶14-048](#))
 - # a non-electronic filing penalty ([¶14-045](#))
 - # a civil penalty under the [KiwiSaver Act 2006](#) (KIW) ([¶14-047](#)), or
 - # a civil penalty for acquiring or possessing electronic sales suppression tools (ESS tools) ([¶14-125](#)).
3. Criminal penalties, where the taxpayer's state of mind may be relevant ([¶14-230](#)). The majority of criminal offences are categorised as:
 - # absolute liability offences for not keeping or providing required information ([¶14-240](#))
 - # offences for knowingly failing to comply with a tax obligation ([¶14-250](#)),
 - # evasion offences ([¶14-260](#)), and
 - # manufacturing, supplying, acquiring or possessing ESS tools ([¶14-265](#)).

A taxpayer may be liable to both a civil and a criminal penalty in respect of the same offence. Refer to s [149\(1\)](#) of the TAA. However, a taxpayer will be liable to only one shortfall penalty for each tax shortfall, with the exception being the employers' withholding payment penalty (ss [149\(2\)](#) and [141ED](#)).

Use of money interest

The TAA states that interest payable by taxpayers for unpaid tax is not a penalty. The purpose of the use of money interest (UOMI) provisions is to compensate the Commissioner of Inland Revenue (Commissioner) when tax is unpaid and compensate the taxpayer when tax is overpaid ([¶14-200](#) and s [120A](#) of the TAA).

Interest is imposed in every case where there has been non-payment, an underpayment or late payment of tax. The Commissioner has no discretion to waive interest. However, interest may be cancelled in certain circumstances ([¶14-180](#)).

Law: TAA Pts [7](#), [9](#), ss [120A](#), [139](#), [149](#)

Last reviewed on 31 December 2025

Assessment of a civil penalty [¶14-021]

[¶14-021]

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Assessment

The Commissioner can make or amend an assessment of a civil penalty (which includes a shortfall penalty) in the same way as an assessment or an amended assessment of the related tax is made. Note that the exception to this general rule is a civil penalty under s [142H](#) or [142I](#) (which relate to failures under the rules for the automatic exchange of information ([¶14-048](#))) where there is no related tax. Section [94C](#) allows the Commissioner to make an assessment of the penalty in those cases.

An assessment of a shortfall penalty must be made in the same way as the tax to which it relates; however, the penalty assessment must be separate from the assessment of the related tax. The only exception is the employers' withholding payment penalty (ss [94A\(2\)](#) and [141ED](#)). It is not necessary for unpaid tax to have been assessed, become assessable or payable, or been paid before a shortfall penalty is assessed. An assessment of a shortfall penalty that is made before the enactment of the annual taxing Act is calculated at the tax rates that applied for the previous income year.

Subject to a specific provision in a tax law, a payment made by, or an amount applied on behalf of, a taxpayer for a shortfall penalty does not give rise to a credit towards or in respect of any other tax or tax liability.

Application of time bar provision

It is the Commissioner's view that, provided there is a "tax shortfall" ([¶14-100](#)), the time bar provisions ([¶14-110](#)) do not apply to an assessment for a shortfall penalty. Section [94A](#) does not import the statute bar provisions (ss [108](#) and [108A](#)) into the assessment of shortfall penalties. The Commissioner is not time barred from issuing an assessment for a shortfall penalty or from amending assessments of shortfall penalties, providing there is a "tax shortfall" in existence by the statute bar date (*Tax Information Bulletin* [¶166-110 Vol 16, No 6](#), July 2004 at 31).

Law: TAA ss [94A](#), [141ED](#)

Last reviewed on 31 December 2025

Scope of the penalties regime [¶14-022]

[¶14-022]

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The penalties regime applies to all types of tax. The definition of “tax” in s [3\(1\)](#) of the TAA encompasses the following for the penalties regime:

- # a tax, levy or duty of any type imposed by a tax law, regardless of how the tax, levy or duty is described
- # an amount deemed by a tax law to be a tax, levy or duty
- # any other amount payable to the Commissioner under a tax law, including:
 - # an amount payable under one of the Commissioner's attachment notices
 - # a child support compulsory deduction
 - # deductions of KiwiSaver contributions from salary or wages
 - # KiwiSaver employer contributions
 - # unpaid KiwiSaver compulsory employer contributions
 - # student loan repayment deductions
 - # a credit of tax under a tax law
 - # a tax similar to any of the above that is payable by a taxpayer in a country other than New Zealand, or that is relevant under a tax law for determining a tax position.

“Tax” does not include:

- # interest imposed under Pt [7](#) of the TAA
- # financial support (as defined in s [2\(1\)](#) of the Child Support Act 1991)
- # an end-of-year repayment obligation or an overseas-based repayment obligation (as defined in s [4\(1\)](#) of the Student Loan Scheme Act 2011)
- # a civil penalty (except for the purposes of s [4A](#) (construction of certain provisions), and Pts [7](#) (interest), [8](#) (objections), [8A](#) (challenges), [9](#) (penalties), [10](#) (recoveries) and [11](#) (remission, relief, and refunds) of the TAA)
- # a tax prescribed in a tax recovery agreement
- # a secure credit or debit card payment fee charged by the Commissioner
- # a registration fee for registration of a foreign trust
- # a return filing fee for the return of a foreign trust.

Law: TAA s [3\(1\)](#) (“tax”)

Last reviewed on 31 December 2025

PAYE intermediaries and the penalties regime [¶14-024]

[¶14-024]

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Where an employer has transferred its pay as you earn (PAYE) obligations to a PAYE intermediary, the PAYE intermediary is subject to late filing penalties, late payment penalties and shortfall penalties as if the PAYE intermediary were the employer.

However, if the employer has failed:

- # to pay the gross salary or wages to the intermediary, or
- # to provide the information required by the intermediary within the agreed time

then the late filing penalty, late payment penalty and shortfall penalties will apply to the employer, not the intermediary (s [141JB](#) of the TAA and [¶3-485](#)).

A PAYE intermediary is also treated as an employer for the purposes of ss [22](#) and [23A](#) of the KIW.

Law: TAA s [141JB](#)

Last reviewed on 31 December 2025

Duty of the Commissioner to report on the application of penalties [¶14-025]

[¶14-025]

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At the end of each financial year, the Commissioner has a duty to notify the Minister of Finance by providing a report about the manner in which the following shortfall penalties have been applied:

- # not taking reasonable care
- # unacceptable tax position
- # gross carelessness
- # abusive tax position
- # evasion or similar act, and
- # promoter penalty.

The Minister must lay a copy of the report before the House of Representatives as soon as is practicable.

Law: TAA s [141L](#)

Last reviewed on 31 December 2025

"No fault" civil penalties [¶14-030]

[¶14-030]

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"No fault" civil penalties do not require consideration of the state of mind of the taxpayer or other culpability factors. Thus, they operate at the lowest end of the scale. While, in some cases, the Commissioner has some discretion in their imposition, the simple fact of a particular omission or default by the taxpayer is sufficient for the penalty to be imposed. These penalties are as follows:

- # late filing penalty ([¶14-040](#))
- # late filing penalty for goods and services tax (GST) returns ([¶32-223](#))
- # non-electronic filing penalty ([¶14-045](#))
- # KiwiSaver civil penalty ([¶14-047](#))
- # late payment penalty ([¶14-050](#))
- # imputation penalty tax ([¶14-070](#)), and
- # Māori authority distribution penalty tax ([¶14-090](#)).

Civil penalties are not deductible (s [DB 1](#)).

Last reviewed on 31 December 2025

Late filing penalty [¶14-040]

[¶14-040]

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A late filing penalty will be imposed if a taxpayer does not complete and provide on time:

- # an annual tax return required under s 33, 41–44 or 79 of the TAA
- # an annual ICA return required to be filed under s 69(1) and (2)(a) of the TAA by an Australian ICA company that is not required to file a return of income
- # a return required by a multi-rate portfolio investment entity (PIE) or a proxy for an investor in the PIE
- # a statement for payment of residential land withholding tax (RLWT), or
- # employment income information (¶3-023), and

the Commissioner notifies the taxpayer the penalty is payable.

The late filing penalty does not apply to fringe benefit tax (FBT) returns. The Commissioner has also stated in IR240, “Penalties and Interest” (July 2025), that late filing penalties for income tax returns will only be charged if an IR3 or IR4 is filed late.

A taxpayer will not be liable to pay a late filing penalty for an annual tax return if the Commissioner considers that in a particular case or class of cases a penalty should not be imposed. However, the Commissioner may only exercise their discretion if it is necessary because of resource constraints while the 2 IR software platforms co-exist and the taxpayer’s non-compliance is not serious or unreasonable.

A late filing penalty also applies to GST returns (¶32-223).

The amount of the late filing penalties are:

Annual tax return — net income below \$100,000	\$50
Annual tax return — net income between \$100,000 and \$1m (<i>both figures inclusive</i>)	\$250
Annual tax return — net income over \$1m	\$500
Annual ICA return, statement for RLWT or employment income information	\$250

The penalty is payable on notification by the Commissioner. Under s 139A(5) of the TAA the Commissioner must, not less than 30 days before imposing a late filing penalty:

- # notify the taxpayer that a late filing penalty may be imposed if a return specified in the notice is not filed, or
- # publicly notify that a late filing penalty may be imposed on taxpayers who omit to file the required return.

Different notice requirements apply for employment income information (¶3-023) and GST returns (¶32-223).

Due dates for payment of the late filing penalty — s 142

In summary, the due dates are:

- # For late filing penalties, other than for employment income information and GST returns, the later of:
 - # the date specified by the Commissioner (being not less than 30 days after the Commissioner notifies the taxpayer that the penalty is payable), and
 - # either:
 - the terminal tax date for the tax year to which the annual tax return relates
 - the date the Australian ICA company is required to furnish the annual ICA return, or
 - the date the employer is required to furnish the ACC reconciliation statement.

Example:

Jane receives a statement dated 30 September 2023 showing a late filing penalty. Her end-of-year tax is due 7 February 2024. The penalty is due on 7 February 2024.

For employment income information, 30 days after the end of the month in which the employment income information should have been delivered, see [¶3-023](#).

For GST returns, see [¶32-223](#).

Standard practice statement on late filing penalty

Standard practice statement [SPS 19/04](#), "Late filing penalty" sets out the Commissioner's practice for imposing late filing penalties under ss [139A](#) and [139AAA](#). The Commissioner's practice is that a late filing penalty will be imposed for an outstanding income tax return if:

- # the return is not filed by the due date and the taxpayer does not have an extension of time arrangement
- # the return is not filed by the date agreed under an extension of time arrangement
- # an extension of time arrangement is withdrawn from a tax agent and the return is not filed by the date specified when the arrangement was withdrawn, or
- # the taxpayer has an extension of time arrangement through a tax agent and the return is not filed by the 31 March immediately following the income year to which the return applies.

At least 30 days' written notice will be given of the intention to charge a late filing penalty. The notice may be made publicly or directly to the taxpayer concerned.

A minimum penalty of \$50 will be imposed. When the outstanding return is filed, if the net income is in a different bracket to that minimum penalty, the amount of the penalty is adjusted. The minimum penalty will remain payable if the return filed shows a loss.

See [¶3-023](#) for a discussion of the Commissioner's practice on the application of a late filing penalty in relation to employment income information.

Reversal or remission

The Commissioner's practice is that a late filing penalty may be reversed in the following circumstances:

- # the return was filed but had not been "lodged" by IR before the date on which the late filing penalty was imposed
- # the return or employment income information was not required to be filed, or
- # with respect to employment income information, the employer was registered as an employer but no salaries or wages were paid in that period.

With respect to remission of a late filing penalty, the statement states that a taxpayer must meet the legislative criteria in ss [183A](#) and [183D](#) of the TAA ([¶14-180](#)).

Further, the Commissioner's practice is that a late filing penalty will not be remitted if:

- # a taxpayer has an extension of time through a tax agent but the tax agent has not advised IR that the taxpayer is a client before the late filing penalty was charged, or
- # a taxpayer gains an extension of time, either through a tax agent or individually, after the late filing penalty was charged.

See [¶2-018](#) for details on the Commissioner's practices on granting extension of time.

Law: TAA ss [139A](#), [142](#)

Last reviewed on 31 December 2025

Non-electronic filing penalty [¶14-045]

[¶14-045]

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Employers must provide their employment income information on a payday or twice-monthly basis to the Commissioner. The online group of employers is required to file their information electronically and within 2 working days after payday ([¶13-023](#)). A non-electronic filing penalty is payable if the information is not filed or is filed in a non-prescribed format (unless the employer is authorised to do so).

The non-electronic filing penalty is a monthly penalty. Regardless of how often an employer fails to file electronically in a calendar month, the maximum penalty is \$250 or \$1 for each employee for whom information should have been filed in that month.

The non-electronic filing penalty is due 30 days after the end of the month in which the employment income information was due to be received in a prescribed electronic form or by means of the prescribed electronic communication.

Example:

F Charm Ltd withholds more than the threshold amount of \$50,000 of PAYE and ESCT. The company has been notified by Inland Revenue that from a specified future date, they will be in the "online group" and required to provide employment income information electronically and that the due date for the information will be two working days after payday. They are also advised that if they believe they have grounds, they can apply for an exemption from electronic filing.

F Charm Ltd does not seek an exemption and has not changed their filing method by the time the notice period expires. They pay staff weekly and the number employed varies. In July the numbers reported each week varied from 70–90 but over the month 95 different employees were reported as being paid. The last payday in July was the Thursday 26th and the information should have been received electronically on Monday July 30th. The returns were submitted on paper and failed to meet the new due dates.

The non-electronic filing penalty for the month is the greater of \$250 or \$1 for each employee whose information is not filed electronically, which in this case was 95. F Charm Ltd is penalised \$250 for not filing electronically in July. The due date for the penalty is 30 August.

Because it was the first occasion (month) in a 12-month period on which they had failed to file on time, F Charm is notified that a further failure to file on time will incur a late filing penalty.

Example adapted from *Tax Information Bulletin* [¶305-102 Vol 30, No 5](#), June 2018 at 19.

Portfolio investment entities (PIEs) are also required to make returns in electronic format. PIEs are subject to the same non-electronic filing penalty ([¶129-150](#)).

GST-registered persons over a taxable supplies threshold will be required to file their GST return electronically, although the threshold has not yet been set ([¶12-019](#)). Once the threshold is set and the electronic filing requirement is activated, a non-electronic filing penalty will also apply to GST returns. The penalty will be \$250 and it will also be due and payable 30 days after the end of the month in which the GST return was due.

The non-electronic filing penalty also applies to investment income payers who fail to provide their investment income information in a prescribed electronic form. For investment income information, the penalty is \$250. The penalty is due 30 days after the end of the month in which the investment income information was due to be received in a prescribed electronic form or delivered by the prescribed means of electronic communication.

See [¶14-180](#) for remission provisions.

Law: TAA ss [36BD](#), [139AA](#), [142G](#)

Last reviewed on 31 December 2025

Penalties under the KiwiSaver Act [¶14-047]

[¶14-047]

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The KIW sets out penalties that apply, in addition to the provisions of the TAA, if there is a failure to provide information under Pt [2](#) or [3](#) of the KIW or a failure to withhold KiwiSaver contributions.

An employer who fails to provide information required under Pt [2](#) or [3](#) of the KIW is liable for a penalty (ss [214](#) and [215](#) of the KIW). Where the Commissioner has not given notice to the employer within the preceding 12 months that a penalty may be imposed, or that the employer has been liable in the preceding 12 months, the penalty will be nil. In any other case, the penalty is \$50 for small employers and \$250 for other employers.

A “small employer” is defined in s [215\(4\)](#) of the KIW as an employer whose gross PAYE and employer’s superannuation contribution tax deductions in the previous tax year were less than \$100,000 in total.

Section [215\(3\)](#) of the KIW specifies that an employer is not liable for more than one penalty per month. The penalty is due and payable on the day on which the next tax deduction required to be made by the employer under the PAYE rules is due to be paid to the Commissioner after the end of the PAYE period in which the failure occurred.

Law: KIW ss [214](#), [215](#)

Last reviewed on 31 December 2025

Penalties relating to information-sharing agreements [¶14-048]

[¶14-048]

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As part of the legislation implementing the global standard for the automatic exchange of information, the Common Reporting Standard (CRS) has been incorporated into New Zealand law ([¶26-280](#)). The CRS requires implementing jurisdictions to have rules and procedures in place to ensure compliance and address non-compliance. This includes the following penalties.

Absolute liability penalties

A penalty of \$300 applies if a financial institution does not comply with any CRS due diligence or reporting requirement (s [142H\(1\)](#)). However, this penalty will not be imposed if the failure was due to circumstances beyond a financial institution's control (s [142H\(2\)\(a\)](#)).

A penalty of \$300 also applies if a financial institution fails to obtain self-certifications on opening a new financial account when this is required by CRS (s [142H\(3\)](#)).

During the transitional period to 30 June 2019, the above penalties were not applied if the Commissioner was satisfied that the financial institution made reasonable efforts to comply with its obligations and corrected the failure within a reasonable period of time after becoming aware of it (s [142H\(2\)\(b\)](#) and [\(4\)](#)).

The total amount of these penalties for a reporting period must not exceed \$10,000 (s [142H\(6\)\(a\)](#)).

Negligence penalties

A financial institution can be subject to a penalty for a lack of reasonable care in complying with its CRS due diligence and reporting requirements under s [142H\(5\)](#). However, a penalty under this section can only apply if neither of the above absolute liability penalties have been imposed. The penalty for lack of reasonable care is \$20,000 for the first default and \$40,000 for each subsequent default. Penalties for this category of offence cannot exceed \$100,000 in total for a reporting period (s [142H\(6\)\(b\)](#)).

Information providers

There are also penalties of a more specific nature in s [142I](#) concerning due diligence actions of account holders, controlling persons, or persons who otherwise hold accounts for the benefit of others (including trusts and intermediaries). A penalty of \$1,000 applies to a person or entity (the information provider) who:

- # provides false information (other than in a self-certification) relating to the information provider
- # signs or affirms a false self-certification
- # provides false information (other than in a self-certification) relating to another person or entity
- # provides a false self-certification for another person or entity
- # fails to provide information (including a self-certification for the information provider or another person or entity) after being requested to do so
- # fails to disclose a material change in a self-certification or information that has been provided.

An information provider who has failed to satisfy the requirements for providing information, including a self-certification, will not be liable to a penalty if the Commissioner is satisfied the failure occurred through no fault of the information provider. Similarly, no penalty is imposed for a failure to provide information, including a self-certification, relating to another person or entity and not within the control of the information provider, if the Commissioner is satisfied that the information provider has made reasonable efforts to comply.

Assessment of penalties

Section [94C](#) allows the Commissioner to issue an assessment for the penalty that, in the Commissioner's judgment, should be imposed on a financial institution with obligations under Pt [11B](#) of the TAA for financial accounts it maintains. Liability for the amount so assessed applies unless the financial institution, person or

entity establishes by way of a challenge that the assessment is excessive or they are not chargeable with the penalty.

The due date for payment of a penalty assessed under s [142H](#) or [142I](#) is the later of 30 days after the date the Commissioner issues the assessment and the date specified in the assessment for payment.

Law: TAA ss [94C](#), [142H](#), [142I](#)

Last reviewed on 31 December 2025

Late payment penalty [¶14-050]

[¶14-050]

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A taxpayer will be liable for a late payment penalty if and to the extent that the taxpayer does not pay by the due date an amount of tax calculated by the taxpayer as payable or for which the taxpayer is assessed and any one or more of the following apply:

- # the unpaid tax is provisional tax or a penalty relating to a failure to pay provisional tax ([¶122-200](#))
- # the taxpayer has failed to pay an amount of tax on time within the previous 2 years (ignoring any failure to pay for which a penalty or interest has been remitted)
- # the taxpayer has paid all amounts of tax on time within the previous 2 years (ignoring any failure to pay for which a penalty or interest has been remitted) and the Commissioner notifies the taxpayer of a further date for payment of the unpaid tax and the taxpayer does not pay before the earlier of that further date and one month from the notice.

Grace period

Therefore, a grace period exists whereby the Commissioner notifies the taxpayer the first time a payment is late, rather than immediately imposing a late payment penalty. Thus, unpaid tax may not be subject to a late payment penalty where:

- # the taxpayer has punctually paid all taxes due in the 2 years before the default in question, and
- # the unpaid tax is paid within the time of up to one month allowed in a notice from the Commissioner specifying a further payment date for the unpaid tax.

However, if the taxpayer does not make payment within that notified further period, or the taxpayer makes other late payments within 2 years of the due date of the first late payment, the late payment penalty is imposed as usual from the day after the due date.

It is possible for the Commissioner to apply a grace period and then determine that the grace period should have been applied to an earlier period. This may occur, for example, when a return is filed late and a grace period has already been applied to a subsequent return when it should have been applied to the late return. To ensure that the taxpayer benefits from the grace period, the grace period is applied to the first default identified (s [139B\(5B\)](#)).

If a taxpayer enters an instalment arrangement before the due date for payment of tax (known as a pre-emptive instalment arrangement), the second stage of the initial late payment penalty is not imposed (s [139B\(5C\)](#) and *Tax Information Bulletin* [¶218-133 Vol 21, No 8](#), Part II, October/November 2009 at 113). In addition, the grace period does not apply for the period when a pre-emptive instalment arrangement is entered into but applies at a later date if the taxpayer inadvertently misses a payment. This reinforces the policy of the grace period — to ensure that the taxpayer who inadvertently misses a payment is not penalised.

The notion of unpaid tax extends to a late payment penalty already imposed on other unpaid tax. The late payment penalty is then added to the unpaid tax and included in the calculation of future late payment penalties incurred on unpaid tax.

Components of late payment penalty

The components of a late payment penalty added to the unpaid tax are as follows:

- # an initial late payment penalty:
- # 1% is added on the day after the due date for payment of the unpaid tax, and
- # 4% is added at the end of the seventh day after the due date, and

an incremental late payment penalty: 1% of the amount of tax still unpaid is then determined and added at successive monthly intervals.

The 1% incremental late payment penalty is not payable if the relevant tax is:

- # GST for a GST return period ending on or after 24 March 2017
- # provisional tax and income tax for the 2017–18 or later income years
- # Working for Families tax credit overpayments for the 2017–18 or later income years
- # further income tax under the imputation or Māori authority credit account provisions for the 2018–19 and later income years
- # imputation additional tax for the 2018–19 and later income years
- # a civil penalty for taxes and periods described in the above bullet points, or
- # an electronic sales suppression penalty under s [141EE](#) (acquiring or possessing an electronic sales suppression tool).

The late payment penalty does not apply if the unpaid tax is \$100 or less (s [183F](#)).

The Commissioner's views on when a tax payment is received are set out in standard practice statement [SPS 20/04](#), "Tax payments — when received in time" ([¶12-115](#)).

UOMI ([¶14-200](#)) is charged on the unpaid tax from the original due date until the date of assessment and on:

- # unpaid tax and shortfall penalties from the date of the assessment until the date payment of all outstanding amounts is made, and
- # late payment penalties as they accrue.

Attachment notices

The 4% initial late payment penalty is not charged if the Commissioner has exercised their powers to issue attachment notices to persons holding funds owed to the defaulting taxpayer ([¶12-190](#)) before the end of the seventh day after the due date for payment of the tax and the Commissioner has received the tax deducted in accordance with the notice (s [139B\(3B\)](#)).

Similarly, the 1% incremental late payment penalty is not charged if the Commissioner has issued attachment notices and has received the tax deducted in accordance with the notices issued (s [139B\(5A\)](#)).

Non-charging of penalty for seeking financial relief

The 4% initial late payment penalty is not charged if the person with outstanding tax asks the Commissioner for financial relief before the default date for payment of the tax. However, the 1% initial late payment penalty will still be charged (s [139BA\(1\)](#)).

If the person asks for financial relief on or after the default date for payment of the tax, the 1% incremental late payment penalty is not charged from the date of request. However, the 1% and 4% initial late payment penalty will still be charged (s [139BA\(2\)](#)).

The period of time to which the above applies is from the time the person seeks financial relief until the earlier of:

- # the date the Commissioner makes a decision not to give financial relief, and
- # the expiry of the 20 working days (or such other period allowed) for the person to provide further information requested by the Commissioner or to respond to a counter offer.

If an instalment arrangement is entered into, the 1% incremental late payment penalty will not be charged if the person complies with all of the person's obligations under the arrangement.

All late payment penalties will be charged if:

- # an instalment arrangement is cancelled on the basis of false or misleading information provided by the person, or

financial relief is not given.

For details on the application for financial relief, see [¶2-119](#).

Law: TAA ss [139B](#), [139BA](#), [183F](#)

Last reviewed on 31 December 2025

Large multinational group penalty [¶14-055]

[¶14-055]

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From 27 June 2018, the Commissioner's power to request information has been extended to members of a large multinational group ([¶1-590](#)).

The Commissioner also has the ability to impose a fine of up to \$100,000 as a civil penalty on members of large multinational groups that fail to comply with a s [17B](#) request for information or documents. The penalty is payable on the date specified by the Commissioner in the notice of assessment of the penalty, which must be at least 30 days after the notice is issued.

A "large multinational group" is defined to mean a consolidated accounting group that has:

- # a New Zealand resident member or income with a source in New Zealand
- # a non-resident member, and
- # annual consolidated group revenue equal to or exceeding the revenue threshold of €750 million. This threshold is based on the revenue threshold set in para 5.53 of the OECD's transfer pricing guidelines.

Law: TAA ss [3\(1\)](#) ("[large multinational group](#)"), [139AB](#), [142GB](#)

Last reviewed on 31 December 2025

Penalty for failure to register or provide information under the foreign trust disclosure rules [¶14-056]

[¶14-056]

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Under the penalties regime, failure to register or provide information amounts to an absolute liability offence, which is criminal in nature. Until 1 April 2023, the Commissioner had no discretion to treat non-compliance with the foreign trust disclosure rules in any other way. In practice, the primary consequence for a foreign trust that does not comply with the disclosure requirements in an income year is that it cannot use the foreign-sourced income exemption that income year. This resulted in inequitable outcomes in many cases – either the penalty was too harsh (if the non-compliance was relatively minor) or too lenient (if the trust had no foreign-sourced income). Consequently, from 1 April 2023, s [139AC](#) is introduced into the penalty rules. The provision allows the Commissioner greater discretion to allow a trust to use the foreign-sourced income exemption in cases of minor non-compliance. A trustee is not liable to pay the [penalty](#) if the Commissioner is satisfied that the trustee makes reasonable efforts to comply with the requirements and to remedy the non-compliance.

The penalty is no more than \$1,000.

Law: TAA ss [3\(1\)](#), [139AC](#)

Last reviewed on 31 December 2025

New due date for tax payment that is not a penalty [¶14-060]

[¶14-060]

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If a taxpayer has been assessed with tax and the Commissioner increases the amount of the assessment after the due date for payment of the assessed tax, the Commissioner must fix a new date for the payment of the increase in tax. Notice of the new due date must be given to the taxpayer in the notice of the increase of assessment. A new due date must also be set if a taxpayer has made a return that quantifies an amount of tax that is payable by a due date and, after the due date, the Commissioner assesses an increased amount of tax as being payable by the taxpayer.

If an assessment of tax is increased less than 30 days before the due date for payment of the tax, the Commissioner must, in the notice of increase of assessment, fix a new due date for payment of the tax or increased tax.

Any new due date must fall at least 30 days after the date of issue of the notice of assessment.

The Commissioner is not required to set a new due date in the following circumstances:

- # if the unpaid tax is provisional tax that remains unpaid on an instalment date
- # if the assessment is a default assessment
- # if the Commissioner has notified the taxpayer before the due date for the payment of the tax that no new due date will be set in respect of the tax as calculated or estimated by the taxpayer, or
- # if the Commissioner considers that setting a new due date may prejudice the ability to recover the tax or increased tax.

It has been clarified that a new due date is not set when the Commissioner makes a systems-generated electronic default assessment. It has also been clarified that when a taxpayer files a return following a systems-generated electronic default assessment, a new due date is set for the resulting tax liability.

For the purposes of setting a new due date, "tax" does not include a civil penalty (ie a late filing penalty, late payment penalty, shortfall penalty, promoter penalty, non-electronic filing penalty or civil penalty under the KIW).

Once a new date is set for the payment of unpaid tax, penalties and interest, and the total amount is paid on or before that new due date, no UOMI is charged for the period between the date of the assessment notice and the new due date. However, if payment is not made by the new due date, late payment penalties are charged on the unpaid tax and (depending on the degree of culpability) any shortfall penalty due as at the new date.

From 5 February 2017, amendments to s [142A](#) removed the requirement to set a new due date for the payment of tax resulting from a new or amended assessment made by the Commissioner. The timing and application of UOMI and late payment penalties remained unchanged. The Commissioner can apply credits or refunds that become available in payment of the taxpayer's tax liability from the moment the Commissioner has made a new or increased assessment. IR's software platform START is able to use the original due date for payment but still allow time for payment before the imposition of late payment penalties.

Changes made from 1 April 2018 aligned the due date for payment of tax for default assessments, removing the distinction between electronic default assessments and manual default assessments. A subsequent reassessment resulting in an increase when the return is filed is treated as due at the original due date.

Law: TAA ss [142A](#), [142AB](#)

Last reviewed on 31 December 2025

Imputation penalty tax [¶14-070]

[¶14-070]

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Section [140B](#) of the TAA imposes imputation penalty tax on a company that is liable for further income tax under s [OB 65](#) of the Income Tax Act 2007 (IT07) or additional imputation tax under s [OB 72](#) of the IT07.

Under s [OB 65](#), a company is liable to pay further income tax as a result of having a debit balance in its imputation credit account (ICA) at the end of the imputation year (ie 31 March). Where a company is liable to pay further income tax, it is also liable to pay imputation penalty tax. The imputation penalty tax is 10% of the debit balance in the ICA on 31 March. Imputation penalty tax is payable on 20 June following the end of the imputation year in which the debit balance arose (s [142E](#) of the TAA).

Law: IT07 s [OB 65](#); TAA ss [140B](#), [142E\(1\)](#)

Last reviewed on 31 December 2025

M#ori authority distribution penalty tax [¶14-090]

[¶14-090]

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Section [140CB](#) of the TAA imposes a special tax known as M#ori authority distribution penalty tax on a M#ori authority liable for further income tax under ss [OK 21](#) and [OK 22](#) of the IT07.

Under ss [OK 21](#) and [OK 22](#), a M#ori authority is liable to pay further income tax as a result of having a debit balance in its M#ori authority credit account at either the end of the tax year (ie 31 March) or immediately before it stops being a M#ori authority ([¶24-327](#)).

If a M#ori authority is liable for further income tax, it is also liable to pay penalty tax under s [140CB](#). The penalty tax is 10% of the debit balance in the M#ori authority credit account on 31 March.

Law: IT07 ss [OK 21](#), [OK 22](#); TAA s [140CB](#)

Last reviewed on 31 December 2025

Standard-based civil shortfall penalties [¶14-100]

[¶14-100]

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A shortfall penalty is a penalty imposed on a taxpayer under any of ss [141A–141K](#) for taking an incorrect tax position or for doing or failing to do any of the things required by those sections. The standard-based civil shortfall penalties apply to:

- # failure to take reasonable care — [¶14-112](#)
- # an unacceptable tax position — [¶14-115](#)
- # gross carelessness — [¶14-117](#)
- # an abusive tax position — [¶14-119](#), and
- # evasion — [¶14-121](#).

Each shortfall penalty is defined by a level of culpability and the greater the culpability, the greater the penalty.

Tax shortfall

The central concept in the application of standard-based penalties is tax shortfall. A tax shortfall is both the situation that must arise before a penalty can be imposed and the amount on which the penalty is based. Shortfall penalties are calculated as a percentage of the shortfall of tax owed by the taxpayer.

A taxpayer may be liable for only one shortfall penalty for each tax shortfall. Where a taxpayer could otherwise have been liable for more than one penalty, the highest shortfall penalty is imposed (s [149\(3\)](#)).

Where a taxpayer has been prosecuted for a criminal offence, a civil penalty may still be imposed whether or not the prosecution has been successful (s [149\(4\)](#)). For example, the Commissioner may impose a penalty for failure to take reasonable care in circumstances where a taxpayer was found not guilty of a knowledge offence. However, if a shortfall penalty has been imposed on a taxpayer for taking an incorrect tax position, the Commissioner may not subsequently prosecute the taxpayer for taking that incorrect tax position (s [149\(5\)](#)).

A shortfall penalty (employers' withholding payment penalty) is imposed for not paying amounts due on providing employment income information. This penalty is different from the other shortfall penalties in that it can be imposed more than once if the shortfall continues to be outstanding ([¶14-124](#)).

"Tax shortfall" is defined in s [3\(1\)](#) of the TAA as the difference between the tax effect of:

- # a taxpayer's tax position for the return period, and
- # the correct tax position for that period

when the taxpayer's tax position results in too little tax paid or payable by the taxpayer or another person, or overstates a tax benefit, credit, or advantage of any type or description by or benefiting the taxpayer or another person.

However, where an employer has not elected to withhold tax from an employee's share scheme income under s [RD 7B](#) of the IT07 ([¶13-470](#)), the tax shortfall will be the same as if they had elected to pay PAYE on the benefit. There is no basis for differentiating in this respect between employers who do and those who do not withhold PAYE.

Tax position

The term "[tax position](#)" is defined in s [3\(1\)](#) of the TAA as a position or approach with regard to tax under a tax law. A "taxpayer's tax position" is also defined and means a tax position taken in or in respect of a tax return, an individual's final account that is treated under s [221](#) as a return of income or a due date.

Tax positions are not limited to income tax. They will be taken in relation to almost all taxes, levies and duties, including GST. A tax position includes a position or approach with regard to:

- # a liability for an amount of tax or the payment of an amount of tax
- # an obligation to deduct or withhold an amount of tax, or the deduction or withholding of an amount of tax
- # a right to a tax refund, or to claim or not to claim a tax refund
- # a right to a credit of tax, or to claim or not to claim a credit of tax
- # the provision of a tax return, or the non-provision of a tax return
- # the derivation of an amount of income or exempt income or a capital gain, or the inclusion or non-inclusion of an amount in income
- # the incurring of an amount of expenditure or loss, or the allowing or denying as a deduction of an amount of expenditure or loss
- # the availability of a tax loss component or loss balance, or the use of a tax loss component or loss balance
- # the attaching of a credit of tax, or the receipt of or lack of entitlement to receive a credit of tax
- # the balance of a tax account or memorandum account of any type or description, or a debit or credit to such an account
- # the estimation of provisional tax payable
- # the use of the accounting income method (AIM) for provisional tax and the software product of an approved AIM provider
- # whether the taxpayer must provide information to the Commissioner on the income other than reportable income that they derive for a tax year
- # the application of Pt 3, subpart 3B of the TAA (Reporting of income information by individuals), or
- # a right to a tax credit.

Separate calculations

A separate tax shortfall calculation is required for each return period, tax type and tax position taken by the taxpayer. However, if a debit adjustment in one tax type results in a corresponding credit adjustment in another tax type, the credit will be offset against the debit for the purposes of calculating the tax shortfall. If the two tax types in question have different return periods, the Commissioner may specify that part of one or more return periods for one of the tax types is to be treated as the same return period for the other tax type (s [141\(2\)](#), [\(3\)](#), [\(6\)](#) and [\(9\)](#)).

When there is a tax shortfall in respect of the same tax type, the overstatement is offset against the understatement. When there are multiple tax shortfalls for the same tax type, there is a set-off of the overstatements on a pro rata basis against all understatements (s [141\(5\)](#)).

The Commissioner may treat companies in a wholly-owned group as one taxpayer for the purposes of calculating a tax shortfall (s [141\(8\)](#)).

Associated persons

Where 2 taxpayers are associated persons and a debit adjustment in one taxpayer's return causes a credit adjustment in the return of an associated person, the refund will be offset against the debit, with the effect of reducing the tax shortfall (s [141\(7\)](#)). The Commissioner has the right to exercise discretion in relation to a taxpayer and an associated person when implementing s [141\(7\)](#) if there is an overlap in return periods and the taxpayer's tax position is not an abusive tax position and does not involve evasion (s [141\(7B\)](#)).

Similar or identical tax shortfalls within the same return period will be aggregated and treated as one tax shortfall (s [141\(10\)](#)).

Shortfall penalty and provisional tax

A special concession applies for a provisional taxpayer using the GST ratio method. These taxpayers are not liable to pay a shortfall penalty when they pay the correct amount of tax based on the GST ratio method, but (s [141EA](#)):

- # they underpay their annual tax liability, or
- # the instalment is changed after instalment date by a reassessment of their residual income tax.

Law: TAA ss [3\(1\)](#) ("[tax position](#)", "[taxpayer's tax position](#)", "[tax shortfall](#)"), [141](#), [141EA](#), [149](#)

Last reviewed on 31 December 2025

Shortfall penalty for not taking reasonable care [¶14-112]

[¶14-112]

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At the core of the shortfall penalties is a minimum standard of reasonable care. If a taxpayer does not exercise “reasonable care” in taking a tax position, the taxpayer is liable to a penalty of 20% payable on the resulting tax shortfall.

The shortfall penalty for not taking reasonable care is capped at \$50,000 if:

- # the taxpayer voluntarily discloses the shortfall, or
- # the shortfall is detected by audit within the later of:
 - # 3 months after due date of the relevant return, and
 - # the lesser of one return period or 6 months following the due date of the return.

The cap will not apply in cases of obstruction (ss [141JAA](#) and [141K](#)). For further discussion of the reduction of the penalty where voluntary disclosure of a tax shortfall is made, see [¶14-130](#).

The common law test for negligence (whether a person with ordinary skill and prudence would have foreseen a tax shortfall) is relevant.

Example:

Tom has spent the past 10 years travelling around the world in his luxury launch. During the 2013–14 income year, Tom settles in New Zealand to retire. His income is made up of dividends, interest and rental income sourced from various investments situated in Australia, Canada, Italy, the USA and New Zealand. On the recommendation of a close friend, Tom engages Mr Count of Conservative & Co, chartered accountants, to prepare his 2013–14 income tax return. However, Tom makes no effort to gather the required information until there are only 3 weeks before the return must be filed. While doing so, he makes little effort to check for the completeness of the information that he has on hand and omits mentioning \$10,000 of interest earned from Australia during that income year. Tom also completes and signs an end-of-year standard questionnaire provided by Mr Count. The questionnaire is designed to ensure that all income details are provided to Mr Count in order for Tom’s tax return to be completed and that Tom is aware that his return will be prepared from the information provided by him.

In this case, it is likely that Tom would be subject to a shortfall penalty for lack of reasonable care. This is because he did not take reasonable care when gathering the information for the return, ie he did not act in the way that a person of ordinary skill and prudence would have acted in his circumstances. The fact that Tom engaged Mr Count to prepare his return does not preclude him from the penalty. This is because Mr Count prepared Tom’s return from the information provided by Tom and, according to the questionnaire completed by Tom, all sources of income for the 2013–14 income year had been provided.

Other factors going to the issue of reasonable care include the complexity of the law and the transaction, the size or materiality of the shortfall, the size and nature of the business, and the type of record-keeping systems in place.

Interpretation statement on not taking reasonable care

Interpretation statement [IS0053](#), “Shortfall penalty for not taking reasonable care” contains the following key points:

- # The standard of “reasonable care” under s [141A](#) involves establishing what a reasonable person would do in the same circumstances and takes into account such factors as the age, health and background of the taxpayer in question.
- # Guidance is given on how the standard of reasonable care is applied to various types of taxpayers, eg business persons, clients of agents and tax specialists.
- # The application of the standard is also examined in certain situations, such as receipt of IR advice, complexity of the law, materiality and arithmetical errors.
- # The reasonable care standard does not mean perfection, but refers to the effort required commensurate with the reasonable person in the taxpayer’s circumstances.

- # In determining whether the standard of reasonable care has been met, the Commissioner will consider the likelihood of a tax shortfall, the quantum of the shortfall and the difficulty of preventing a tax shortfall.
- # While a taxpayer is liable for the actions of their employees, the question of whether the taxpayer has taken reasonable care must still be considered.
- # The shortfall penalty for not taking reasonable care can be reduced for the taxpayer's previous behaviour, voluntary disclosure or where the tax shortfall is temporary. (The penalty can also be increased where the taxpayer obstructs the Commissioner.)
- # In the Commissioner's view, s [141JAA](#), which provides for the penalty payable to be capped in some situations, is only applicable after other reductions have been made.

The interpretation statement refers to *Tax Information Bulletin* [¶87-106 Vol 8, No 7](#), October 1996, which lists the following circumstances that may be taken into account when determining whether a taxpayer has exercised reasonable care:

- # the complexity of the law and the transaction (the difficulty in interpreting complex legislation)
- # the materiality of the shortfall (the gravity of the consequence and the size of the risk)
- # the difficulty and expense of taking the precaution, and
- # the taxpayer's age, health and background.

For a business, reasonable care may also take into account:

- # the size and nature of the business
- # the internal controls in place
- # the record-keeping practices of the business, and
- # systems failures.

The reasonable care standard therefore applies not only to the completing of tax returns but also to the systems and procedures in place to ensure that the figures used in tax returns are correct. The standard considers whether adequate records have been maintained and whether items have been substantiated properly. It also requires taxpayers to make reasonable attempts to clarify any uncertainties they may have regarding the appropriate treatment of an item.

In Case Y21 ([2008](#)) [23 NZTC 13,227](#), the Taxation Review Authority held that a shortfall penalty for lack of reasonable care was appropriate as a shortfall occurred and the taxpayer's lack of financial records had caused his affairs to become muddled, so that he was found to be acting with disregard for the consequences.

Advice received from tax professional

A standard of reasonable care may be satisfied if a taxpayer has obtained the advice from a reputable tax professional. This is subject to the onus remaining on the taxpayer to provide all proper records and relevant facts, and the taxpayer not relying unreasonably on the tax professional or on wrong advice. In other words, the taxpayer is not vicariously liable for the carelessness of a tax agent.

Section [141A\(2B\)](#) sets out the circumstances in which a penalty can be imposed on taxpayers for not taking reasonable care when they, or a company in the same group of companies, have used a tax advisor. The circumstances are where the taxpayer:

- # is the tax advisor's employer
- # provides inadequate information to the tax advisor
- # provides inadequate instructions to the tax advisor
- # has reason to believe that the action or advice of the tax advisor is incorrect, or
- # has had a previous tax shortfall penalty imposed for the same error within the past 4 years and does not take reasonable steps to avoid the further tax shortfall.

A taxpayer who takes an "acceptable tax position" is deemed to have taken reasonable care (s [141A\(3\)](#) of the TAA). An "acceptable tax position" is a tax position that is not an "unacceptable tax position". For the meaning of "unacceptable tax position", see [¶14-115](#). However, a taxpayer who takes an acceptable

tax position but has made a calculation or processing error in their return could still be liable for a shortfall penalty for not taking reasonable care (s [141A\(4\)](#)).

Law: TAA ss [141A](#), [141JAA](#)

Last reviewed on 31 December 2025

Shortfall penalty for unacceptable tax position [¶14-115]

[¶14-115]

[Click to open document in a browser](#)

Where a taxpayer takes an “unacceptable tax position”, the penalty is 20% of the resulting tax shortfall.

An “unacceptable tax position” is one that, when viewed objectively, fails to meet the standard of being about as likely as not to be correct.

Case U47 ([2000](#)) [19 NZTC 9,410](#) considered the interpretation of s [141B](#) (before its amendment in 2003) and the meaning of the phrase “being about as likely as not to be correct”. The Commissioner adopted the approach taken in Case U47 as to the meaning of the phrase in the interpretation statement [IS0055](#), “Shortfall penalty — unacceptable interpretation and unacceptable tax position”, issued in October 2005 (*Tax Information Bulletin* [¶179-103 Vol 17, No 9](#), November 2005 at 26). In that statement, the Commissioner’s view was that the term “about as likely as not to be correct” means that there must be, at least, about an equal chance of a position being likely to be correct as it is to be incorrect. The use of the word “about” makes the test less stringent, but the position still needs to be close to or around 50% likely to be correct. However, the Commissioner has also expressed the view that the term means that a position need not necessarily be the correct position, or one that has a 50% chance of success, but must be a position that is capable of being seriously considered by a court.

A taxpayer does not take an unacceptable tax position merely by making a mistake in a calculation or a processing error in a return or in recording of numbers for use in preparing a return (s [141B\(1B\)](#)). However, where such an error is made, a shortfall penalty for not taking reasonable care could still be imposed (s [141A\(4\)](#)).

Reliance on Inland Revenue advice

A taxpayer will not be subject to the unacceptable tax position penalty if they relied on a Commissioner’s official opinion. This means, for a taxpayer:

- # an opinion of the Commissioner concerning the tax affairs of the taxpayer, communicated by the Commissioner after all relevant and correct information has been provided
- # a finalised official statement of the Commissioner notifying the taxpayer, if it specifically applies to the taxpayer’s situation.

The definition of “Commissioner’s official opinion” excludes private binding rulings. This is because where a taxpayer has relied on a private binding ruling, reliance on the ruling should mean that the taxpayer will not be subject to the unacceptable tax position penalty in any event (ss [3\(1\)](#) and [141B\(1D\)](#) and *Tax Information Bulletin* [¶2210-109 Vol 22, No 10](#), November 2010 at 69–70).

Use of AIM for calculating provisional tax

A taxpayer does not take an unacceptable tax position merely by using an accounting income method (AIM) and an approved AIM provider’s AIM-capable accounting system ([¶22-090](#) and s [141B\(1E\)](#)). However, this exclusion does not apply to a taxpayer with a gross annual income of more than \$5 million or who uses a large business AIM-capable system (s [141B\(1F\)](#)).

Application

The unacceptable tax position shortfall penalty applies only if the resulting tax shortfall exceeds a certain threshold. The tax shortfall must exceed both \$50,000 and 1% of the taxpayer’s total tax figure for the relevant return period (s [141B\(2\)](#)).

The shortfall penalty for taking an unacceptable tax position is capped at \$50,000 if the taxpayer voluntarily discloses the shortfall, or the shortfall is detected by audit, no later than the later of:

- # 3 months after due date of the relevant return, and
- # the lesser of one return period or 6 months following the due date of the return.

The cap will not apply in cases of obstruction (s [141JAA](#)). For further discussion of the reduction of the penalty where voluntary disclosure of a tax shortfall is made, see [¶14-130](#).

Matters to be considered in determining whether a taxpayer has taken an unacceptable tax position are:

- # the relevant tax laws, and
- # court and Taxation Review Authority decisions.

IR has stated that other factors it might take into account include the commentary to the Bill enacting the relevant law, relevant binding rulings, articles written by tax professionals and related material (*Tax Information Bulletin* [¶87-106 Vol 8, No 7](#), October 1996 at 17). See also Case W3 ([2003](#)) 21 NZTC 11,014 at 11,033.

The time at which a taxpayer takes a tax position will generally be when the taxpayer files a tax return.

The unacceptable tax position penalty does not apply to shortfalls that arise for GST and withholding-type taxes. That is, the unacceptable tax position penalty only applies to income tax shortfalls.

Law: TAA ss [3\(1\)](#) ("[Commissioner's official opinion](#)"), [141B](#), [141JAA](#)

Last reviewed on 31 December 2025

Shortfall penalty for gross carelessness [¶14-117]

[¶14-117]

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Where a taxpayer is grossly careless, they will be liable for a shortfall penalty payable of 40% of the resulting tax shortfall. “Gross carelessness” is defined in s [141C\(3\)](#) as doing or not doing something in a way that, in all the circumstances, suggests or implies complete or a high level of disregard for the consequences.

The purpose of the gross carelessness shortfall penalty is to cater for breaches that fall just short of the evasion category but go beyond a lack of reasonable care.

Example:

In Case W4 ([2003\) 21 NZTC 11,034](#), a taxpayer purchased and sold a property within 6 months. A GST input tax credit was claimed on the purchase, but no GST output tax was returned on the sale. The omission was discovered during an audit of a later GST return. The Commissioner imposed a 40% shortfall penalty for gross carelessness for the omission. The Taxation Review Authority held that the taxpayer was grossly careless in failing to account for the GST output tax, whether the test was objective or subjective. The taxpayer had a very high level of disregard for the consequences of his actions when completing his GST returns. See also Case W3 ([2003\) 21 NZTC 11,014](#) at 11,032.

A taxpayer will not be grossly careless if the taxpayer takes an “acceptable tax position” (s [141C\(4\)](#)). An “acceptable tax position” is a tax position that is not an “unacceptable tax position”. For the meaning of the term “unacceptable tax position”, see [¶14-115](#).

Interpretation statement on gross carelessness

Interpretation statement [IS0060](#), “Shortfall penalty for gross carelessness” sets out the Commissioner’s interpretation of the term “gross carelessness” in s [141C](#). The statement, which draws largely on Case W4 discussed above, argues that gross carelessness is similar to recklessness but unlike evasion which also involves recklessness, it does not require an element of mens rea or intent to breach a tax obligation. Briefly, the statement provides that:

- # the test for gross carelessness is objective and is based on what a reasonable person would foresee as being conduct that creates a high risk of a tax shortfall occurring, and
- # gross carelessness involves recklessness but, unlike evasion, does not require an element of intent to breach a tax obligation.

The statement contains a discussion that distinguishes between gross carelessness and the shortfall penalty for not taking reasonable care. Guidance is also provided on how the gross carelessness standard is applied to various situations.

Law: TAA s [141C](#)

Last reviewed on 31 December 2025

Shortfall penalty for abusive tax position [¶14-119]

[¶14-119]

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The purpose of the abusive tax position shortfall penalty is to penalise those taxpayers who, having taken an unacceptable tax position, enter into arrangements or interpret or apply tax laws with a dominant purpose of taking or supporting the taking of tax positions that reduce or remove tax liabilities or give tax benefits.

If a taxpayer takes an “unacceptable tax position” with the dominant purpose of avoiding tax, the penalty payable is 100% of the resulting tax shortfall (s [141D\(3\)](#)). An “unacceptable tax position” is one that, when viewed objectively, fails to meet the standard of being about as likely as not to be correct ([¶14-115](#)).

Reduction of penalty for abusive tax position

A shortfall penalty for an abusive tax position is reduced from 100% to 20% if:

- # a taxpayer is a party to an arrangement to which a promoter penalty might apply and becomes liable to a shortfall penalty for an abusive tax position as a result of that arrangement
- # the sum of the tax shortfalls from the arrangement for the taxpayer and persons associated with the taxpayer is less than \$50,000, and
- # the taxpayer has independent advice stating that the taxpayer’s tax position is not an abusive position (s [141D\(3B\)](#)).

The reduction in penalty applies whether or not a promoter penalty has been imposed in respect of the arrangement ([¶14-123](#)).

Interpretation statement on abusive tax position

Interpretation statement [IS0061](#), “Shortfall penalty for taking an abusive tax position” applies to tax positions taken on or after 1 April 2003. In brief, the penalty applies when the taxpayer has taken an unacceptable tax position and has either:

- # entered into an arrangement which has the dominant purpose of avoiding tax, whether directly or indirectly (s [141D\(7\)\(b\)\(i\)](#)), or
- # when there is no arrangement, or no arrangement of the type outlined above, taken the tax position with a dominant purpose of avoiding tax, whether directly or indirectly (s [141D\(7\)\(b\)\(ii\)](#)).

The interpretation statement also makes the following points:

- # The phrase “dominant purpose of avoiding tax” means that the most influential and prevailing purpose of the arrangement, or the taxpayer, is to avoid tax.
- # The term “avoiding tax” includes the concept of “tax avoidance” under the general or specific anti-avoidance provisions, and those situations where tax is avoided or is attempted to be avoided, but the general or specific anti-avoidance provisions are not invoked.
- # Factors that may be taken into account when determining whether there is a “dominant purpose of avoiding tax” are:
 - # artificiality and contrivance
 - # circularity of funding
 - # concealment of information and non-availability of evidence, and
 - # spurious interpretations.
- # The Commissioner considers that it is the dominant purpose of the arrangement that is tested in s [141D\(7\)\(b\)\(i\)](#), not the taxpayer, ie the taxpayer does not have to have a dominant purpose of avoiding tax for this provision to apply. A penalty will arise under this subsection if the taxpayer has taken their tax position directly or indirectly in respect of an arrangement that they have entered into and the dominant purpose of the arrangement is tax avoidance.

When applying s [141D\(7\)\(b\)\(ii\)](#), the “dominant purpose” of avoiding tax is a test of the taxpayer’s purpose. This subsection will apply where there is an unacceptable tax position and the taxpayer takes the position with the purpose of avoiding tax. Section [141D\(7\)\(b\)\(ii\)](#) has potential application where there is no arrangement or where there is an arrangement but it cannot be shown that the arrangement itself has a dominant purpose of avoiding tax.

Law: TAA s [141D](#)

Last reviewed on 31 December 2025

Shortfall penalty for evasion or similar act [¶14-121]

[¶14-121]

[Click to open document in a browser](#)

The purpose of the shortfall penalty for evasion or a similar act is to provide a penalty for taxpayers who, in taking a tax position:

- # evade the assessment or payment of tax for themselves or others
- # knowingly misapply a deduction or withholding of tax
- # knowingly do not make tax deductions or withhold tax
- # knowingly do not transfer payroll donations to a donee organisation
- # obtain a refund or a payment of tax, or attempt to do so, with the knowledge that the taxpayer is not lawfully entitled to the refund or payment
- # enable another person to obtain a refund or a payment of tax, or attempt to enable that person to do so, with the knowledge that the other person is not lawfully entitled to the refund or payment.

Under s [141E\(4\)](#) the shortfall penalty payable for evasion or a similar act is 150% of the resulting tax shortfall.

Example:

The taxpayer in Case W3 ([2003](#) 21 NZTC 11,014) was held liable for a shortfall penalty for evasion after 2 cheques for payment of PAYE were dishonoured and an investigation identified discrepancies.

Section [141E\(2\)](#) provides that no shortfall penalty will be chargeable for failure to account for deductions or withholdings to the Commissioner if the taxpayer can prove that:

- # the amount has been accounted for, and
- # the taxpayer's failure to account within the prescribed time was caused by illness, accident or some other cause beyond the person's control.

Interpretation statement on evasion

Interpretation statement [IS0062](#), "Shortfall penalty — evasion" focuses on what constitutes evasion or "a similar act" in the context of s [141E](#). Briefly, the statement provides that:

- # evasion occurs when a taxpayer deliberately breaches a tax obligation
- # evasion requires the taxpayer knew or strongly suspected the course of conduct would breach a tax obligation, ie intentional behaviour or subjective recklessness (negligence or carelessness is insufficient)
- # acts or omissions that constitute a "similar act" to evasion all require that the act or omission occur "knowingly"
- # in this context, "knowingly" requires that the taxpayer has knowledge of doing the act (or the omission), not knowledge that the act or omission is in breach of a tax obligation
- # the knowledge requirement can be satisfied by actual knowledge of or subjective recklessness toward the doing of the act (or of the omission) (negligence and carelessness are insufficient)
- # the statutory defence (in s [141E\(2\)](#)) that can apply to s [141E\(1\)\(b\)](#) (ie misapplying a deduction or withholding of tax) applies only where the deduction has since been accounted for and the taxpayer establishes (on the balance of probabilities) that the illness, accident or other cause beyond their control directly caused the breach, and
- # apportionment of a shortfall penalty (provided for in s [141F\(2\)](#)) between the taxpayer (eg a company) and the officer of the taxpayer involved is possible where the breach is failure to make or account for a deduction, or misapplying or permitting misapplication of a deduction. The criteria for determining the apportionment are the relative actions or omissions of the taxpayer and the officer involved, and the reasonableness of those actions or omissions.

It is the Commissioner's view that "subjective recklessness" is sufficient to satisfy the mens rea requirement of evasion. Recklessness is the conscious taking of a risk, ie knowing the facts of a risk and choosing to ignore them. However, if a taxpayer is genuinely unaware of an obligation so as not to have any intention to try to avoid it (objective recklessness) then a penalty for gross carelessness or lack of reasonable care is more likely to apply than a penalty for evasion.

In contrast to other shortfall penalties, the onus of proof for a shortfall penalty for evasion rests with the Commissioner. The Commissioner must prove that it is more probable than not that the taxpayer has the mens rea for evasion. The requisite knowledge, intention or the doing of the act (or omission) may be drawn from an objective analysis of the circumstances and conduct of the taxpayer. Negligence or carelessness, on the part of the taxpayer, will be insufficient to satisfy the test.

Law: TAA s [141E](#)

Last reviewed on 31 December 2025

Officers liable to pay certain penalties [¶14-122]

[¶14-122]

[Click to open document in a browser](#)

Where a taxpayer is required to make or account for a deduction or withholding of tax under a tax law and an officer of the taxpayer fails to make that deduction, or permits it to be applied for a purpose other than payment to the Commissioner, one shortfall penalty may be imposed for each tax position taken by the taxpayer.

The tax shortfall on which the penalty is being imposed may be apportioned by the Commissioner between the taxpayer and the officers involved having regard to:

- # the acts or omissions of the taxpayer and the officers, and
- # whether those acts or omissions were reasonable in the circumstances of the case.

“Officer” is defined in s [3\(1\)](#) of the TAA for these purposes to include:

- # a director or secretary or other statutory officer of a corporate body
- # a receiver or manager of any property of a corporate body or a person with similar powers, and
- # a liquidator of a corporate body.

This definition is inclusive, ie it is not limited to the persons above.

Law: TAA ss [3\(1\)](#) (“[officer](#)”), [141F](#)

Last reviewed on 31 December 2025

Promoter penalties [¶14-123]

[¶14-123]

[Click to open document in a browser](#)

Section [141EB](#) imposes a civil penalty on promoters of certain arrangements that are intended to produce taxation-related benefits. The penalty applies where a shortfall penalty for an abusive tax position is imposed on a taxpayer party to the arrangement. The arrangement must be offered, sold, issued or promoted to 10 or more persons in a tax year and will be treated as such if 10 or more persons claim tax-related benefits as a result of the arrangement. An arrangement offered, sold, issued or promoted to a look-through company (LTC) or partnership is treated as being offered, sold, issued or promoted to all owners of effective look-through interests in the LTC or all partners of the partnership respectively.

The amount of the promoter penalty is the greater of nil and the sum of the tax shortfalls for taking an abusive tax position that the promoter would have been liable for had the promoter:

- # been a party to the arrangement in place of each party to the arrangement to whom the arrangement was offered, sold, issued or promoted
- # taken a tax position under which the arrangement is treated as producing, for the promoter, the taxation-related benefits intended by the parties to the arrangement, and
- # had the taxation-related characteristics that would produce for the promoter the maximum taxation-related benefits from the arrangement (s [141EB\(4\)](#)).

Who is a promoter?

A “promoter” is defined in s [141EC](#) to mean:

1. a person who is party to, or is significantly involved in formulating, a plan, software or programme from which an arrangement is offered
2. a person who is aware of material and relevant aspects of the arrangement and who sells, issues or promotes the selling or issuing of the arrangement, whether or not for remuneration, or
3. a person who provides services on a contingency fee basis in relation to research and development tax credit claims.

A person is not a promoter where their involvement with the arrangement is limited to providing legal, accounting, clerical or secretarial services to a promoter (s [141EC\(2\)](#)).

A promoter of the kind described in 1 above is jointly and severally liable with any other such promoters for the whole promoter penalty.

The promoter is also jointly and severally liable with any other promoter of the arrangement who is a promoter of the kind described in 2 above. The liability is for the part of the promoter penalty for which that other promoter is liable.

A promoter of the kind described in 2 above is also jointly and severally liable with all promoters for the portion of the promoter penalty that is associated with the arrangement entered into by taxpayers to whom that promoter offered, sold, issued or promoted the arrangement.

Standard practice statement on promoter penalties

Standard practice statement [INV-290](#), “Promoter penalties” details the following:

- # the criteria
- # promoter
- # offered, sold, issued or promoted
- # calculating the penalty
- # multiple promoters
- # imposition of a promoter penalty

- # disputable decision
- # independent advice — reduction of investor's penalty, and
- # previous behaviour — reduction of penalties.

Law: TAA ss [141EB](#), [141EC](#)

Last reviewed on 31 December 2025

Employers' withholding payment penalty [¶14-124]

[¶14-124]

[Click to open document in a browser](#)

A shortfall penalty is imposed when a taxpayer provides employment income information but does not pay an amount of tax owing on the due date. IR must, after the due date for paying the required amount, give notice to the taxpayer of the following:

- # that the taxpayer is liable to pay a penalty for failing to pay the unpaid amount by the due date and how the penalty is calculated, and
- # the circumstances in which further penalties will be imposed and how further penalties will be calculated, and
- # the actions the taxpayer may take to avoid the imposition of further penalties.

Before sending this notice, IR must first notify the taxpayers that a penalty may be imposed under s [141ED](#) if the unpaid amount is not paid (s [141ED\(2\)](#)).

Amount of penalty

The amount of the penalty imposed is:

- # 10% of the unpaid amount on the day before the penalty date, if the taxpayer fails to agree to an instalment arrangement with the Commissioner and to pay the unpaid amount before the day that is one month after the penalty date
- # 10% of the unpaid amount on the day before the penalty date, if the taxpayer agrees to an instalment arrangement with the Commissioner before the penalty date, but then fails to comply with that arrangement before the day that is one month after the penalty date, or
- # 5% of the unpaid amount on the day before the penalty date, if the taxpayer pays the unpaid amount or agrees to an instalment arrangement after the penalty date and before the day that is one month after the penalty date, and complies with that arrangement.

Penalty date

The penalty due date (the penalty date) is:

- # the date of the Commissioner's notice if the penalty is the first penalty for the unpaid amount, or
- # one month after the penalty date for the preceding penalty, if the above does not apply.

More than one shortfall penalty for an employers' withholding payment penalty can be imposed on an employer for the same liability (ie on a month-by-month basis). However, the total amount of penalties imposed cannot exceed 150% of the original amount owed. In addition, the Commissioner is not precluded from subsequently prosecuting the taxpayer for taking an incorrect tax position (s [141ED\(6\)](#) and [\(7\)](#)).

Employers of cross-border employees

Section [141ED](#), and ss [139A](#) and [139B](#) (late filing and late payment penalties) do not apply when a non-resident employer incorrectly concludes that they do not have to withhold and pay, or pay, an amount of tax for a PAYE income payment to a cross-border employee in an income year, if the employer:

- # has either 2 or fewer employees present in New Zealand during the income year, or pays \$500,000 or less of employment-related taxes for the income year, and
- # has, within 60 days of a relevant withholding or payment failure, taken reasonable measures to manage their employment-related tax obligations.

Instalment arrangements

The penalty does not apply where the taxpayer is negotiating an instalment agreement to pay the unpaid amount. It applies where the taxpayer agrees, before the penalty date, to an instalment arrangement of the same type as provided for in s [177B](#), and pays the unpaid amount under that instalment arrangement. There is also a limited exception from the shortfall penalty for receivers or liquidators who have insufficient funds to pay the schedule amount (s [141ED\(3\)](#)).

Under s [183F\(1\)\(c\)](#), a taxpayer will not be liable to pay an employers' withholding payment penalty if the unpaid amount on the day before the date of the Commissioner's notice under s [141ED\(1\)\(b\)](#) is \$100 or less.

Law: TAA ss [141ED](#), [149\(2\)](#), [\(5\)](#)

Last reviewed on 31 December 2025

Acquiring or possessing ESS tools [¶14-125]

[¶14-125]

[Click to open document in a browser](#)

IR have introduced a new civil offence relating to acquisition or possession of ESS tools.

An “electronic sales suppression tool” is a software program, device, or other thing that can modify, falsify, destroy or prevent the creation of a record that a person is required to keep under tax law and that records a sale, and the use of which would lead to a reasonable conclusion that one of its principal functions is to facilitate the modification, falsification, destruction or prevention of the creation of a record.

Under s [141EE](#) an electronic sales suppression penalty applies to taxpayers who knowingly acquire, possess, or control an ESS tool. It also applies to those persons who have the right to use the ESS tool. In both cases, the acquisition, possession, control or right to use must be accompanied by the purpose of evading the assessment or payment of tax. It need not be their own tax but can also relate to another person’s tax assessment or payment.

The only exception is for taxpayers who acquire a business whose operations include the use of a suppression tool if the taxpayer could not reasonably have known of the tool’s existence, and they have not used the tool. This measure is aimed at ensuring taxpayers who accidentally acquire a tool in this way are not penalised for this unintentional acquisition.

The ESS penalty amount is \$5,000 and the taxpayer is only liable for a single penalty for all related tax types.

Note that under s [141FB\(6\)](#), there is no reduction for “good behaviour” when a person has an ESS penalty imposed.

Revenue alert, [RA 22/01](#) “Consequences of acquiring, possessing or using electronic sales suppression tools” highlights the possible consequences a taxpayer will face if they are found to have acquired, possessed or used ESS tools.

Law: TAA s [141EE](#), [141FB\(6\)](#)

Last reviewed on 31 December 2025

Reduction of shortfall penalties for previous behaviour [¶14-129]

[¶14-129]

[Click to open document in a browser](#)

No reduction in penalty for good behaviour is available to a taxpayer who has committed evasion where the evasion was caused by the use of ESS tools and an electronic sales suppression penalty was imposed ([¶14-265](#)).

Shortfall penalties imposed under ss [141A–141E](#) may be reduced by 50% if a taxpayer has a past record of “good behaviour” or good compliance and if the taxpayer is not convicted of a disqualifying offence, or liable for a disqualifying penalty.

Disqualifying offence

A “disqualifying offence” means:

- # an offence under s [143A](#), [143B](#), [143F](#), [143G](#), [143H](#) or [145](#) for which a conviction is entered on or after 26 March 2003 and before the taxpayer takes the tax position to which the current penalty relates
- # an offence under s [143](#) or [144](#) that relates to the same tax type as the current penalty and for which a conviction is entered on or after 26 March 2003, within the specified time period and before the taxpayer takes the tax position to which the current penalty relates.

The specified time periods are:

Tax type	Time period
Income tax and other tax types	4 years before the tax position was taken to which the current penalty relates
PAYE, GST, FBT, RWT	2 years before the tax position was taken to which the current penalty relates

Disqualifying penalty

The definition of a “disqualifying penalty” in s [141FB](#) depends on which shortfall penalty is being considered. For the reduction of a shortfall penalty imposed under any of ss [141A–141D](#), a “disqualifying penalty” is defined as a shortfall penalty that:

- # relates to the same tax type as the current penalty
- # if the current penalty is for gross carelessness or taking an abusive tax position, is a shortfall penalty for evasion or a similar act or for gross carelessness or taking an abusive tax position
- # if the current penalty is for not taking reasonable care or taking an unacceptable tax position, is a shortfall penalty of any sort
- # is not reduced for voluntary disclosure by taxpayer, and
- # relates to a tax position that is taken on or after 26 March 2003, within the specified time period, and before the date on which the taxpayer takes the tax position to which the current penalty relates.

The shortfall penalties for not taking reasonable care, for taking an unacceptable tax position, for gross carelessness and for taking an abusive tax position are reduced by 50% if the taxpayer has not been liable to pay a shortfall penalty within the previous 4 years. The 4-year period is reduced to 2 years in the case of shortfall penalties imposed in respect of PAYE, FBT, GST and resident withholding tax.

Only shortfall penalties imposed in respect of the same tax type are taken into account so that, for example, a shortfall penalty imposed within the 2-year period that applies in respect of PAYE will not prevent a shortfall penalty relating to FBT being reduced for “good behaviour”. Furthermore:

- # penalties reduced as a result of voluntary disclosure are not taken into account, and

shortfall penalties for not taking reasonable care and for taking an unacceptable tax position are not counted in determining whether a shortfall penalty for gross carelessness or taking an abusive tax position should be reduced for “good behaviour”.

For the reduction of a shortfall penalty imposed under s [141E](#), “disqualifying penalty” is defined as a shortfall penalty that:

- # relates to the same tax type as the current penalty
- # is for evasion or a similar act
- # is not reduced for voluntary disclosure by taxpayer, and
- # relates to a tax position taken on or after 26 March 2003 and before the date on which the taxpayer takes the tax position to which the current penalty relates.

The “good behaviour” period is not limited to 4 years in the case of the shortfall penalty for evasion or a similar act. This shortfall penalty is reduced by 50% only if the taxpayer has not previously been liable for a shortfall penalty for evasion or a similar act. In determining “good behaviour”, only shortfall penalties imposed for evasion or a similar act for the same tax type are taken into account and penalties reduced as a result of voluntary disclosure are not counted.

For shortfall penalties imposed under any of ss [141A–141E](#), a taxpayer will be treated as not liable for a shortfall penalty that relates to a tax shortfall arising from another tax position taken by the taxpayer, if:

- # the Commissioner identified both tax shortfalls in the same investigation or voluntary disclosure, and
- # the taxpayer:
 - # takes both tax positions on the same date
 - # is not liable for a shortfall penalty within the specified time period before taking the tax position.

Standard practice statement

Standard practice statement [SPS 06/03](#), “Reduction of shortfall penalties for previous behaviour” sets out the Commissioner’s policy regarding the practice of reducing shortfall penalties imposed under ss [141A–141E](#) for previous behaviour in accordance with s [141FB](#). Key comments in the statement include:

- # Generally, a taxpayer will be convicted of a disqualifying offence when the taxpayer is sentenced. A guilty plea is not a conviction.
- # If a taxpayer is convicted of but discharged from a disqualifying offence, the taxpayer will be treated as if the taxpayer has been convicted.
- # If a taxpayer is discharged from a disqualifying offence without conviction, the taxpayer has not been convicted of a disqualifying offence for the purposes of s [141FB](#).
- # A reduction in a shortfall penalty for previous behaviour applies separately to each tax type, ie a penalty imposed in relation to PAYE does not preclude a previous behaviour reduction for a later shortfall penalty relating to GST.
- # The start date of the probation period is determined by counting back from the date the taxpayer takes the tax position giving rise to the current penalty.

The statement includes a number of detailed examples that illustrate how rules apply.

Law: TAA s [141FB](#)

Last reviewed on 31 December 2025

Reduction in penalty for voluntary disclosure of tax shortfall [¶14-130]

[¶14-130]

[Click to open document in a browser](#)

Shortfall penalties may be reduced if the taxpayer makes a full voluntary disclosure to the Commissioner of all the details of the tax shortfall either:

- # before the taxpayer is first notified of a pending tax audit or investigation (referred to as “pre-notification disclosure”), or
- # after the taxpayer is notified of a pending tax audit or investigation but before the Commissioner starts the audit or investigation (referred to as “post-notification disclosure”).

For pre-notification disclosure, the penalty is reduced by 100% where the shortfall penalty is for not taking reasonable care, for taking an unacceptable tax position or for an unacceptable interpretation. For all other cases, the penalty is reduced by 75% (s [141G\(3\)](#)).

For post-notification disclosure, there will be a 40% reduction of the shortfall penalty.

In accordance with s [141G\(2\)](#) the Commissioner may specify the information required for a full voluntary disclosure and the form in which it must be provided.

Notification of audit or investigation

Under s [141G\(4\)](#), a taxpayer is deemed to have been notified of a pending audit or investigation, or that the audit or investigation has started, if any of the following persons have received the relevant notification:

- # the taxpayer
- # an officer of the taxpayer
- # a shareholder of the taxpayer (for close companies)
- # a tax adviser acting for the taxpayer
- # a partner in partnership with the taxpayer, or
- # a person acting for, or on behalf of, or as a fiduciary of the taxpayer.

An officer includes a director, secretary, or other statutory officer, a receiver or manager, and a liquidator, but does not include an employee.

Notification of a tax audit or investigation is not required to be in writing. Verbal notification is sufficient. See Case X20 ([2006](#)) [22 NZTC 12,260](#). Although note that the Commissioner has stated in [SPS 16/03](#), “Notification of a pending audit or investigation” that notification will generally be in writing and communicated by post, facsimile, personal delivery or electronic means, and will meet the requirements of ss [14](#) to [14G](#) of the TAA. There are a few exceptions, for example, where IR holds anonymous information or suspects tax avoidance or evasion, the visit is intended to be unannounced (such as a spot check), or it is impractical to send a letter due to time constraints.

An audit or investigation starts at the earlier of (s [141G\(5\)](#)):

- # the end of the first interview between an IR officer and the taxpayer or taxpayer’s representative after the taxpayer has received notification of the investigation, and
- # the time when an IR officer inspects the taxpayer’s information after the taxpayer has received notice of the investigation and has also been notified of the inspection.

[SPS 16/03](#) outlines what actions taken by IR officers will constitute notification of a pending audit or investigation in accordance with s [141G](#). [SPS 16/03](#) should be read together with standard practice statement [SPS 19/02](#), “Voluntary disclosures” (see below).

[SPS 16/03](#) confirms and further clarifies that not all contact with a taxpayer regarding their tax affairs relates to an audit or will necessarily lead to an audit. IR investigators will be required to clearly communicate the

purpose of their contact. When the contact is to notify of a pending audit or to advise that one has begun, the communication will use the word “audit” or “investigation”. That notification will only occur once a decision has been made to audit the taxpayer.

Making a voluntary disclosure

Standard practice statement [SPS 19/02](#) sets out the Commissioner’s guidelines for making a voluntary disclosure. To make a “full” voluntary disclosure, the taxpayer must provide the following information to the Commissioner in respect of each shortfall:

- # sufficient details so that the Commissioner can identify the taxpayer (name, trade name, IRD number), and the taxpayer’s contact details (postal address, contact telephone number(s), email address)
- # the tax periods and tax types involved
- # an explanation as to why the tax shortfall occurred
- # sufficient detail of the tax shortfall, including its amount and full details of the facts and circumstances leading to the tax shortfall, to allow a correct assessment of the tax shortfall, and
- # any further information that is necessary to enable a correct assessment.

IR provides a form, [IR281](#) “Voluntary disclosure”, for taxpayers to make their disclosure. However, voluntary disclosures may be made by a taxpayer in person, by telephone or in writing, including by modifying their existing tax return by using myIR. To ensure there is a clear record of all the details of the voluntary disclosure, the ability to accept a voluntary disclosure by telephone is limited to calls that are received by IR at a site that has call recording. For practical purposes, this means that a taxpayer will need to call using one of IR’s 0800 numbers.

A taxpayer is not able to make a voluntary disclosure in relation to a matter that they wish to dispute, nor will the Commissioner accept a voluntary disclosure that is conditional on a particular outcome or conditional on the Commissioner carrying out (or not carrying out) a particular act.

Although the amount of the tax shortfall has to be disclosed by the taxpayer, exact quantification is not required. However, if the taxpayer makes little or no attempt to quantify the tax shortfall, or deliberately understates the tax shortfall, the voluntary disclosure cannot be a full voluntary disclosure. If the taxpayer is not able to quantify the exact amount of the tax shortfall, it is expected that the taxpayer will co-operate with IR to work out the amount of the tax shortfall.

The Commissioner’s view is that disclosure of a shortfall that is already known to the Commissioner will still amount to a disclosure unless:

- # the Commissioner has expressly advised the taxpayer of the tax shortfall, or
- # the facts and circumstances of the interactions between the taxpayer and the Commissioner clearly indicate that it was reasonable for the taxpayer to infer that the Commissioner already knew of the tax shortfall. Any decision to not accept a voluntary disclosure on this basis will be made by a senior officer.

An audit of a parent company or a subsidiary may necessitate the audit of other subsidiaries within the group. Disclosure would depend upon which entity had been notified. If the parent company received notification that the audit was restricted to that entity, any disclosure made by the subsidiary is a voluntary disclosure before notification of an audit. However, if another company in the group has been notified that the audit is being extended, any disclosure made by that other company would be considered a disclosure after notification of an audit. When a company has a branch or branches, they are considered to have been notified at the same time as the company, as they are part of the company and not separate entities.

Each tax shortfall is considered separately. If there is more than one tax shortfall, one being the subject of voluntary disclosure and the other being detected by an audit, the shortfall detected by the audit does not come within the voluntary disclosure regime.

Items which are identical or similar are treated as one tax shortfall. For a full and complete voluntary disclosure, all items need to be disclosed before the end of the first interview. If one of the items is not

disclosed until after the first interview, the taxpayer does not satisfy the requirements of a full and complete disclosure.

If a voluntary disclosure is full and complete:

- # IR does not generally consider prosecution action for pre-notification disclosures, and
- # in other cases, prosecution may be considered in cases of evasion or similar offences or where the taxpayer has a history of serious non-compliance.

IR also has a booklet available on this: [IR280](#), "Putting your tax returns right", April 2020.

Limitation on reduction in shortfall penalty for voluntary disclosure

Section [141J](#) provides that a shortfall penalty cannot be doubly reduced for both a voluntary disclosure, made in accordance with s [141G](#) or [141H](#), and because of a temporary shortfall ([¶14-142](#)).

Law: TAA s [141G](#)

Last reviewed on 31 December 2025

Reduction in penalty for full disclosure of electronic sales suppression tool use [¶14-133]

[¶14-133]

[Click to open document in a browser](#)

While no “good behaviour” reduction in shortfall penalty is available for taxpayers once an electronic sales suppression penalty is imposed, there is a reduction available to those taxpayers who make full voluntary disclosure of the use of these tools to IR.

If a voluntary disclosure is made pre-notification (before the taxpayer is notified of a pending audit or investigation), the penalty is reduced by 100%. If the voluntary disclosure is made post-notification (after the taxpayer is notified of the audit or investigation), the reduction is 40%.

Section [141GB](#) operates in a similar way to s [141G](#) (reduction in penalty for voluntary disclosure of tax shortfall ([¶14-130](#))), except that the section requires disclosure of the details of the suppression tool, rather than a tax shortfall.

Law: TAA s [141GB](#)

Last reviewed on 31 December 2025

Reduction in penalty for adequate disclosure of unacceptable tax position [¶14-135]

[¶14-135]

[Click to open document in a browser](#)

The shortfall penalties for taking an unacceptable tax position and for taking an abusive tax position may be reduced by 75% if the taxpayer makes adequate disclosure of their tax position at the time at which the tax position is taken (generally, when the taxpayer files a tax return) (s [141H](#)). However, there will be very few circumstances where the taxpayer would willingly disclose in the return that an unacceptable tax position has been taken. The better strategy would be to take advice before embarking on a transaction and, if advice is to the effect that the position is an acceptable one, returns should be filed on this basis without the need for any disclosure. Alternatively, a binding ruling could be obtained ([¶1-525](#)).

If disclosure is made at the time of filing, disclosure form [IR282](#), “Statement in support of a tax position”, April 2014, will be required to be filed in conjunction with the return in which the particular tax position has been taken. Alternatively, disclosure can be made online through myIR.

The following information will be required to satisfy the requirement of adequate disclosure:

- # taxpayer’s details (name, IRD number, address, date of birth, contact details)
- # overview of the position taken
- # interpretation of relevant case law, tax opinions obtained or legal articles
- # any relevant IR public ruling
- # a calculation (if necessary) illustrating how the tax position was arrived at, and
- # a declaration and signature by the taxpayer.

For e-filed returns, the disclosure form will need to be forwarded separately to IR.

Limitation on reduction in shortfall penalty for voluntary disclosure

Section [141J](#) provides that a shortfall penalty cannot be doubly reduced for both a voluntary disclosure, made in accordance with s [141G](#) or [141H](#), and because of a temporary shortfall ([¶14-142](#)).

Law: TAA s [141H](#)

Last reviewed on 31 December 2025

Reduction in penalty for temporary shortfall [¶14-140]

[¶14-140]

[Click to open document in a browser](#)

A shortfall penalty (including a promoter penalty) must be reduced by 75% if and to the extent that the tax shortfall is temporary. A tax shortfall is a temporary tax shortfall if the Commissioner is satisfied, at the time the Commissioner considers the imposition of the penalty, that (s [141\(3\)](#)):

- # the tax shortfall has been or will be permanently reversed or corrected:
- # within 4 years of the taxpayer's tax position
- # by the taxpayer paying the correct amount of tax (disregarding penalties and interest), and
- # as a result of the taxpayer's actions or by the operation of law or circumstances
- # no future tax shortfall will arise for a similar tax position, and
- # there is no arrangement to create a further related tax deferral or advantage.

The extended interpretation of temporary shortfall applies to all types of tax, including income tax.

Case Z11 ([2009](#)) [24 NZTC 14,131](#) confirmed that it is the taxpayer and not the Commissioner who must correct the error before there can be a temporary shortfall attracting the reduction in shortfall penalty.

Standard practice statement on permanent reversal

IR's position on permanent reversal as it applies to a temporary shortfall is set out in standard practice statement [INV-231](#) which is reproduced in *Tax Information Bulletin* [¶118-113 Vol 11, No 8](#), September 1999 at 22. The statement observes that to reverse a situation does not necessarily mean to achieve a complete remedy. It only means to take steps that will lead to the remedy in due course. That proposition could apply where, say, a property developer claimed a full GST input tax credit on a purchase from an unregistered person instead of a credit to the extent of payment (eg the deposit). The statement indicates that upon the taxpayer claiming the entire GST input claim in the first GST return, the taxpayer has made the reversal. This is because no claim for an input credit relating to the same property purchase will be made in a later return. The reversal will be treated as made when the full input claim was made in the earlier return. The taxpayer would be entitled to a 75% reduction for a temporary shortfall.

Section [141](#) only applies to reduce the shortfall penalty. Any late payment penalty and interest imposed will still be payable, unless their remission is obtained under another provision.

Law: TAA ss [141](#), [141J](#)

Last reviewed on 31 December 2025

Limitation on reduction in penalty [¶14-142]

[¶14-142]

[Click to open document in a browser](#)

Section [141J](#) provides that a shortfall penalty cannot be doubly reduced for both a voluntary disclosure and because of a temporary shortfall.

If a voluntary disclosure has been made in respect of a temporary tax shortfall and the shortfall penalty would otherwise be reduced in accordance with s [141G](#) or [141H](#), the shortfall penalty will only be reduced by 100% if:

- # the shortfall penalty is for not taking reasonable care, for taking an unacceptable tax position or for taking a tax position involving an unacceptable interpretation of a tax law, and
- # the tax shortfall is voluntarily disclosed under s [141G](#) before notification of a pending tax audit or investigation by IR.

In all other cases, the shortfall penalty will be reduced by 75%.

Law: TAA s [141J](#)

Last reviewed on 31 December 2025

Shortfall penalty capped at \$50,000 [¶14-145]

[¶14-145]

[Click to open document in a browser](#)

The shortfall penalties for not taking reasonable care and for taking an unacceptable tax position are capped at \$50,000 if the taxpayer voluntarily discloses the tax shortfall under s [141G](#), or the Commissioner determines the shortfall, no later than the date that is the later of:

- # the date 3 months after the due date of the relevant return, and
- # the date that follows the due date of the return by the lesser of one return period or 6 months.

The cap will not apply where the shortfall penalty has been increased for obstruction under s [141K](#) ([¶14-150](#)).

Law: TAA s [141JAA](#)

Last reviewed on 31 December 2025

Increased penalty for obstruction [¶14-150]

[¶14-150]

[Click to open document in a browser](#)

A shortfall penalty payable under any of ss [141AA–141EB](#) of the TAA (which includes a promoter penalty ([¶14-123](#)) and a penalty relating to non-resident contractor payments ([¶26-480](#))) may be increased by the Commissioner if the taxpayer obstructs the Commissioner in determining the correct tax position in respect of their tax liabilities. The level by which the shortfall penalty may be increased for obstruction is 25% (s [141K](#)).

Examples of obstruction include:

- # refusing reasonable access to business premises
- # destroying relevant records
- # lying at an interview
- # falsifying details in a statement of assets and liabilities ([IR110](#))
- # deliberate delays to frustrate IR inquiries.

It is not an obstruction to exercise legal rights, contest an assessment, or maintain an opinion contrary to that of IR.

The civil penalty for obstruction will not apply to agents and third parties. For example, when an agent obstructs an IR officer, the civil penalty for obstruction cannot be applied, as it must be the taxpayer who obstructs and there must be a resulting tax shortfall.

If third parties or agents do obstruct, the criminal offence of obstruction may be used, resulting in prosecution and possible fines ([¶14-280](#)).

Law: TAA s [141K](#)

Last reviewed on 31 December 2025

Due date for shortfall and other penalties [¶14-155]

[¶14-155]

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Section [142B](#) of the TAA deals with the due date for shortfall penalties. If the tax shortfall is an amount of unpaid tax, the shortfall penalty is due on the new date set by the Commissioner for payment of the unpaid tax under s [142A](#), or if no new date is set then on the date notified to the taxpayer by the Commissioner (which cannot be less than 30 days after the Commissioner issued the taxpayer with a notice of assessment for the penalty).

If the tax shortfall is not an amount of unpaid tax, the penalty is due on the date the Commissioner specifies.

The following table sets out the due dates for payment of penalties, including shortfall penalties and repayments of excess refunds or credits of tax, along with the relevant sections:

Section	Type of payment	Payment due date
142	late filing penalty	later of 30 days after notification and various dates as set out in legislation (¶14-040)
142A	tax that is not a penalty (if amount due on a due date is increased)	at least 30 days after notice of assessment or reassessment issued
142AB	new and increased assessments (other than default assessments)	at least 30 days after notice of assessment or reassessment issued
142B	shortfall penalties	at least 30 days after notice of assessment or reassessment issued
142C	payments by officers	at least 30 days after notice of assessment or reassessment issued
142D	repayment of excess refund or credit of tax	later of 30 days after the date of notification requiring payment or the date specified in the notice
142E	imputation penalty tax	20 June following the end of the imputation year (being 31 March)
142F	deferrable tax	30th day after the last day of the relevant period of deferral
142G	non-electronic filing penalty	30 days after the end of the month in which the employment income information, GST information or investment income information is required to be provided
142GB	penalty for member of large multinational group	at least 30 days after the date on which the notice of assessment was issued

A taxpayer who is charged a shortfall penalty will generally receive a new due date for paying both the penalty and the tax shortfall to which the penalty relates. The exception is if the taxpayer has failed to file a return.

However, interest on the unpaid tax will still be charged from the original due date until the date on which the assessment identifying the shortfall is issued.

Note that ss [142A](#) and [142AB](#) do not apply in all cases (ss [142A\(3\)](#) and [142AB\(3\)](#)).

Due date for ESS penalty

Section [142B\(3\)](#) aligns the treatment of the electronic sales suppression penalty with other shortfall penalties and it is treated as an amount of unpaid tax. Therefore, the due date for payment of the penalty will be 30 days after the date on which the notice of reassessment is issued for the penalty.

Law: TAA ss [142–142GB](#)

Last reviewed on 31 December 2025

Payment of shortfall penalty using losses [¶14-160]

[¶14-160]

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A person subject to a shortfall penalty may elect to use tax losses to pay the penalty.

To achieve payment by the use of tax losses, the taxpayer must give the appropriate notice to the Commissioner before the due date for payment of the shortfall penalty.

Losses can only be used to offset against shortfall penalties on income tax shortfalls. For example, they are not available to be offset against shortfall penalties on PAYE, as this is not income tax to the employer.

Once a tax loss has been applied in payment of a shortfall penalty, the loss is extinguished. It is not available to be offset against future income.

A wholly-owned group of companies may also elect to apply a loss incurred by a company in the group in payment of a shortfall penalty imposed on any company in that group (s [IW 1\(3\)](#)).

The value of the tax losses for payment purposes is calculated by multiplying each \$1 of loss by a prescribed tax rate. The prescribed tax rate is the lowest marginal tax rate that would have applied to the taxpayer during the return period to which the relevant tax shortfall relates (s [IW 1\(5\)](#)).

Example:

AB Ltd has accumulated net losses of \$122,850 at a time when the company is assessed for a shortfall penalty of \$92,700. AB Ltd elects to utilise its losses in payment of the shortfall penalty. On the assumption that AB Ltd would have been subject to a 28% tax rate but for the losses, the shortfall penalty to pay would be calculated as follows:

	\$
Shortfall penalty	92,700
Less value of losses (\$122,850 × 28%)	<u>34,398</u>
Balance payable by AB Ltd	<u>58,302</u>

See also IR's standard practice statement [SPS 16/04](#), "Payment of shortfall penalty using losses".

Law: IT07 ss [IA 3\(1\)](#), [IW 1](#)

Last reviewed on 31 December 2025

Remission of penalties and interest [¶14-180]

[¶14-180]

[Click to open document in a browser](#)

Event or circumstance

Under s [183A](#), the Commissioner may remit a penalty if satisfied that:

- # the penalty arose as a result of an event or circumstance beyond the control of the taxpayer, and
- # as a consequence of the event or circumstance the taxpayer has a reasonable justification or excuse for failing to comply, and
- # the taxpayer corrected the failure to comply as soon as practicable.

This applies to the following penalties:

- # a late filing penalty
- # a non-electronic filing penalty
- # a late payment penalty
- # any imputation penalty tax (imposed under s [140B](#))
- # any Māori authority distribution penalty tax (imposed under s [140CB](#))
- # a shortfall penalty under s [141AA](#) for failing to make a deduction from a schedular payment to a non-resident contractor
- # a civil penalty imposed under s [215](#) of the KIW, and
- # an employers' withholding payment penalty under s [141ED](#).

An "event or circumstance" includes an accident or disaster, or illness, or emotional or mental distress. Specifically excluded from this definition is an act or omission of an agent of the taxpayer. However, if the agent's act or omission was caused by an event or circumstance beyond their control, such event being one that could not have been anticipated and the effect of which could not have been avoided by compliance with accepted standards of business organisation and professional conduct, remission may be granted (s [183A\(2\)](#) and [\(3\)](#)).

Duty to collect highest net revenue

Under s [183D](#), the Commissioner may also remit any of the penalties set out above, as well as UOMI, if the Commissioner is satisfied that the remission is consistent with their duty to collect over time the highest net revenue that is practicable. The Commissioner must have regard to the importance of the penalty, and interest, in promoting compliance, especially voluntary compliance, when applying s [183D](#). Generally, the Commissioner will grant remission of penalties if there has been a genuine oversight, a one-off situation or incorrect advice has been given by IR.

As soon as practicable

Remission will not be granted under s [183A](#) or [183D](#) for financial reasons. Requests for financial relief are dealt with under ss [176](#) and [177](#). See [¶2-119](#) on the financial relief provisions.

Generally, the courts will be slow to interfere with the proper exercise by IR officers of statutory duties and discretions under s [183D](#) and other provisions relating to tax recoveries: *W v C of IR* ([2005](#)) [22 NZTC 19,602](#). In that case, the High Court ruled that s [177](#) was in a different category because it involved a consideration of the individual taxpayer's position.

Remission applications will be considered only when the taxpayer has corrected the failure to comply as soon as practicable. No definition of the term "as soon as practicable" is provided for the remission provisions. However, some assistance may be found in the judgment of Judge Bathgate in Case G79 ([1985](#)) [7 NZTC 1,364](#). After referring to several authorities on the point, his Honour noted (at 1,368) that the

word “practicable” might be interpreted as that which is capable of being done or accomplished with such resources as are available, according to the object or purpose of the legislation being considered.

It should be noted that there is no statutory right to challenge or object to any decision of the Commissioner to grant or decline remission under s [183A](#) or [183D](#). However, where the Commissioner decides not to grant remission, the taxpayer may request that the decision be reviewed by the Ombudsman or by way of judicial review.

Remission of interest for emergency event

A taxpayer affected by an emergency event may ask the Commissioner for a remission of UOMI (s [183ABA](#)). An emergency event is a situation that:

- # is the result of any happening, whether natural or otherwise, including, without limitation, any explosion, earthquake, eruption, tsunami, land movement, flood, storm, tornado, cyclone, serious fire, leakage or spillage of any dangerous gas or substance, technological failure, infestation, plague, epidemic, failure of or disruption to an emergency service or a lifeline utility, or actual or imminent attack or warlike act
- # causes or may cause loss of life or injury or illness or distress or in any way endangers the safety of the public or property in New Zealand or any part of New Zealand, and
- # is declared by Order in Council to be an emergency event in relation to a class or classes of persons.

The definition is based on the definition of an emergency in s 4 of the Civil Defence Emergency Management Act 2002.

Amendments have been made to s [183ABA](#) and these allow the Commissioner to remit UOMI following the declaration of an emergency event. This will be a change in process only, as currently the Commissioner can choose not to charge interest on late payments by taxpayers when enabled to do so by an Order in Council.

A remission request need not be in writing. The remission request may be made by a taxpayer who has incurred an interest liability because the taxpayer failed to pay the underlying tax by the due date and the failure to pay is a consequence of the emergency event. The emergency event must also affect the taxpayer’s ability to make a reasonable forecast on one or more provisional tax instalment date, or it must affect the taxpayer’s ability to make the required payment on or before the due date for the provisional tax payment, or both.

The taxpayer must be a member of the class of persons described in the Order in Council proclaiming the emergency event.

There are further restrictions. Remission is permitted only if:

- # the taxpayer has sought relief, and paid the underlying tax, as soon as practicable, and
- # the Commissioner is satisfied that remission is equitable.

In effect, a request can be made once all necessary tax returns have been filed and outstanding tax has been paid.

An Order in Council for an emergency event may relate to events that have already occurred. Any such Order expires (unless renewed) at the end of the period specified in the Order or, if there is no such period, the end of 6 months after the Order is promulgated.

Māori authorities

Section [181B](#) provides that Māori authority distribution penalty tax must be remitted to the extent that the Commissioner is satisfied that:

- # a debit entry in the Māori authority credit account, made because a Māori authority credit was determined to be the subject of an arrangement to secure a tax advantage, is reversed under s [OK 9](#)

- # liability for the penalty tax arose because, before the end of the tax year, a refund of a M#ori authority distribution was sent but not received by the authority, or the M#ori authority did not know it had been received, or
- # the M#ori authority credit account was debited with an amount of overpaid income tax applied by the Commissioner towards an amount payable under the Inland Revenue Acts (excluding an income tax liability or provisional tax) and the M#ori authority did not become aware of the debit in sufficient time to allow for it to be removed before the end of the year.

If the Commissioner remits M#ori authority distribution penalty tax under s [181B](#), any late payment penalty imposed in relation to that tax or the further income tax that gave rise to the M#ori authority distribution penalty tax must also be remitted.

M#ori authority distribution penalty tax may also be remitted under s [183A](#).

Under s [181D](#), the Commissioner must remit interest or a late payment penalty relating to further income tax paid or payable by a M#ori authority and to which s [OK 23](#) or [OK 24](#) of the IT07 applies ([124-327](#)). The remitted amount is the extent that the amount of further income tax charged for the tax year is equal to or less than the amount of unpaid income tax.

Commissioner's policy on remission of penalties and interest

Standard practice statement, [SPS 18/04](#), "Options for relief from tax debt" summarises the Commissioner's practice when considering options for removing or deferring the obligation to pay tax, interest and/or penalties and discusses remission under ss [183A](#), [183ABA](#) and [183D](#).

The statement considers the legislative criteria for the application of each of the provisions, as discussed above. In relation to remission under s [183A](#), the statement makes the following points:

- # whether there is reasonable justification is determined objectively
- # the event or circumstance relied on must be identified
- # it must be determined whether the event or circumstance was beyond the taxpayer's control, and
- # consideration must then be given to whether that event or circumstance provided the taxpayer with reasonable justification.

The statement also sets out a number of more general factors the Commissioner may consider and specifies which factors are relevant for each of ss [183A](#), [183ABA](#) and [183D](#).

The Commissioner will consider the following factors for all 3 provisions:

- # the integrity of the tax system
- # the importance of promoting compliance, and
- # the taxpayer's reasons for their failure to pay.

With regard to an event or circumstance (s [183A](#)) and the duty to collect the highest revenue over time (s [183D](#)), the Commissioner will also consider the following factors:

- # the taxpayer's compliance history, and
- # the taxpayer's co-operation and negotiating stance, and the speed with which the taxpayer provided requested information, as well as the quality of that information.

When considering their duty to collect the highest revenue over time, the Commissioner will also consider whether any steps have been, or will be, taken by the taxpayer to prevent the situation from recurring in the future.

Automatic cancellation of penalties and remission of interest

There are 3 provisions under the TAA for automatic cancellation of penalties and remission of interest. These are as follows:

- # Cancellation of late payment penalties under an instalment arrangement entered into before 1 April 2002 (s [183AB](#)).
- # If the underlying tax is remitted, the UOMI is also remitted (s [183E](#) and [122-355](#)).
- # Income tax or further income tax paid by a Māori authority under s [181D](#).

Cancellation of interest

Interest on the tax assessed is cancelled under s [183C\(1\)](#) where the Commissioner issues a notice of assessment and the taxpayer pays the underlying tax owing, together with any interest payable for the period before the date of notice, by the due date in the notice.

Where a notice of assessment is issued before the original due date for the payment of the tax, and the tax assessed — together with any interest payable up to the date of issue of the assessment — is paid within 30 days of the date of issue, the interest for the period from the day after the date of issue of the assessment and the date of payment (or due date of the tax if earlier) will be cancelled (s [183C\(3\)](#)).

Example:

Carol files her 2016 income tax return on 4 July 2016. She receives an assessment dated 15 August 2016 on 20 August 2016. The assessment shows 2016 terminal tax payable of \$8,000 plus interest (calculated up to 15 August 2016) of \$500. If Carol pays \$8,500 to IR on or before 14 September 2016 (ie within 30 days of 15 August 2016), the interest payable for the period from 16 August 2016 to 14 September 2016 will be cancelled.

If a statement of account is issued after the original due date for the payment of the tax, and the tax referred to in the statement together with any interest payable up to that date is paid within 30 days of the date of issue of the statement (or due date of the tax if earlier), the interest for the period from the day after the date of issue of the statement to the day on which payment is made will be cancelled (s [183C\(4\)](#)).

Example:

Jerry receives a statement of account dated 15 March 2016 for 2015 terminal tax (payable on 7 February 2016) on 20 March 2016. The statement of account shows \$5,000 of 2015 terminal tax, late payment penalties, and interest (calculated up to 15 March 2016). If Jerry pays \$5,000 to IR on or before 14 April 2016 (ie within 30 days of 15 March 2016), the interest payable in respect of the period from 16 March 2016 to 14 April 2016 will be cancelled.

Note that a modified cancellation of interest rule is contained in s [183C\(4B\)–\(4E\)](#) to deal with the situation where taxpayers pay what is shown on the second statement notwithstanding the portion of interest charged between the dates of the 2 statements is ultimately cancelled (leaving small credit balances in accounts).

If both a notice of assessment and a statement of account are issued and the grace periods overlap, a taxpayer is eligible for the cancellation of debit interest for the period beginning the day after the notice of assessment is issued and ending on the date of payment, if the payment of tax (and interest up to the date of assessment) is made within 30 days of the issue of the notice of assessment (s [183C\(5\)](#)).

Time when cancellation takes effect

If penalties or interest have been cancelled by the Commissioner, the time at which the cancellation takes effect is the time at which the tax liability or obligation arose.

Interest or civil penalties can never be payable on a tax liability or obligation that is cancelled (s [183I](#)).

Refunds by Commissioner

The remitted or cancelled amount of interest or civil penalty must either be refunded to the taxpayer or applied to another part of the taxpayer's tax liability (s [183G](#)).

Law: TAA ss [181B–181D](#), [183AA–183I](#)

Last reviewed on 31 December 2025

Standard of proof and onus of proof — civil proceedings [¶14-190]

[¶14-190]

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The standard of proof in civil proceedings relating to the imposition of penalties is the “balance of probabilities”. The onus of proof in civil proceedings:

- # relating to evasion or a similar act to which s [141E](#) of the TAA applies, or to obstruction, rests with the Commissioner, or
- # relating to any other matter or thing, rests with the taxpayer.

Law: TAA s [149A\(1\)](#), [\(2\)](#)

Last reviewed on 31 December 2025

Recovery of civil penalties [¶14-195]

[¶14-195]

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Under s [156A](#), for the purpose of recovering unpaid civil penalties, the civil penalty is deemed to be a tax of the same type as the tax:

- # for which the penalty is imposed, or
- # if the penalty is a late filing penalty, for which the tax return is to be provided, or
- # if the penalty is a non-electronic filing penalty, for which the return is provided.

A civil penalty is recoverable from a taxpayer at any time after it has become payable, whether or not the taxpayer has been convicted of an offence in relation to the act, omission or matter that gave rise to the liability for the penalty (s [156A\(3\)](#)).

In accordance with the provisions set out in s [174AA](#) the Commissioner has discretion to refrain from collecting civil penalties of \$20 or less.

The Commissioner may recover unpaid late filing penalties, late payment penalties and shortfall penalties relating to PAYE from a PAYE intermediary ([¶13-485](#)).

Law: TAA s [156A](#)

Last reviewed on 31 December 2025

Interest regime [¶14-200]

[¶14-200]

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The interest regime aims to compensate for the loss of use of money for taxpayers when they have overpaid their tax and for the Commissioner when tax is underpaid. The interest regime is expressly stated not to be a penalty. Any intention to defer tax payments and incur interest or overpay tax is therefore essentially a financing decision.

UOMI generally applies to all tax obligations and liabilities under the IT07, TAA, Stamp and Cheque Duties Act 1971, GST Act, Gaming Duties Act 1971, Estate and Gift Duties Act 1968, KIW, Student Loan Scheme Act 2011 (excluding a repayment obligation), Accident Compensation Act 2001 and the Child Support Act 1991 (excluding financial support).

Certain persons are excluded from the interest regime. These are:

- # student loan borrowers with a repayment obligation
- # a liable person in relation to child support
- # an employer in relation to amounts of compulsory employer contributions unpaid and specified in a notice under s [141\(5\)](#) of the KIW
- # a non-resident employer who had incorrectly concluded that they do not have to account for PAYE for their “cross-border employee” and has:
 - # either 2 or less employees present in New Zealand during the income year or pays \$500,000 or less of employment related taxes in the income year, and
 - # within 60 days of the relevant failure taken reasonable measures to manage their employment related tax obligations, and
 - # a person who is not an employer who fails to comply with one of the Commissioner’s attachment notices.

Interest is neither payable nor receivable by the taxpayer where the underlying tax is less than \$100 (s [183F](#) of the TAA).

Overpaid tax

UOMI on overpayments of tax generally starts on the later of:

- # the day after the later of the original due date for payment of tax and the date the payment is made
- # if a tax return must be filed, the day after the day on which the return is filed
- # the date on which a pre-populated account is finalised or the Commissioner provides a default assessment, if Pt [3](#), subpart [3B](#) of the TAA applies
- # for a provisional taxpayer, other than one whose residual income tax for a year is payable in one instalment on their terminal tax date (under s [120KE\(1\)](#) or [\(3\)](#)), the first day of the income year, and
- # for a provisional taxpayer subject to s [120KE\(6\)](#) (ie who changes from the GST ratio method of calculation), the later of:
 - # the day after the date the taxpayer stops using a GST ratio (as set out in s [RC 18\(3\)](#) of the IT07), and
 - # the day after the taxpayer’s last ratio instalment date.

Goods and services tax

The date UOMI starts for GST overpayments is governed by the ordinary rules, discussed above. The special rules below apply to UOMI on GST refunds (under s [19C\(8\)](#) or [20\(5\)](#) of the GST Act). In such cases interest will start on the later of:

- # the day after the earlier of:

- # the 10th working day after provision of the return for the return period relating to the refund, and
- # the original due date for payment of the output tax in relation to the return period, and
- # the day after the day upon which the return was provided.

Note that UOMI does not apply to GST refunds to non-residents registered under s [54B](#) of the GST Act.

Fringe benefit tax

Special rules also apply for UOMI on overpaid FBT for the final quarter of an income year. In such cases, interest will start on the 31 May following the end of the final quarter or the date on which the FBT return is filed, whichever is the later. For example, an FBT return for the quarter ended 31 March 2024 is filed on 20 June 2024. The FBT return shows a refund due of \$200. UOMI is calculated on the refund from 20 June 2024. If the return had been filed on 20 May 2024, UOMI would be calculated on the refund from 31 May 2024.

Deposits to a tax pooling account

Tax paid as a deposit to a tax pooling account is assigned a specific commencement date. The date interest starts is the date the deposit is made. Should the Commissioner refund the deposit no interest start date exists. For this purpose, tax paid is an amount credited to an intermediary's tax pooling account or an amount credited or transferred to a taxpayer's account from a tax pooling account (s [RP 18](#) of the IT07 and [¶22-365](#)).

Unpaid tax

UOMI on unpaid tax or underpayments of tax:

- # usually starts on the day after the original due date for the tax payment, or
- # for provisional taxpayers subject to s [120KE\(7\)](#) (ie who changes from the GST ratio method of calculation), the day after whichever dates of instalments B, D and F for their income year occur 30 days after their last ratio instalment date.

An exception to this rule applies where the Commissioner refunds or applies overpaid tax which should have been kept to satisfy a taxpayer's tax liability on a due date. In such an instance, interest starts on the day after the day on which the Commissioner refunds or applies the overpaid tax, unless the taxpayer is an individual who derives only reportable income for an income year. In the latter case, interest starts on the day after the due date for payment of the tax. If a new due date has been set, interest starts on the day after the original due date (s [120C](#)).

Interest is charged, on a non-compounding basis, on the daily difference between the amount of tax paid and the amount of tax assessed (including any accumulated penalties) (s [120E](#)).

Any payment towards reducing the tax liability is first applied to any interest owing on that tax liability before reducing the underlying tax liability itself (s [120F](#)).

Assessability, deductibility, withholding tax

Interest paid on overpayments is assessable ([¶5-281](#)) and subject to non-resident withholding tax provisions. Interest charged on underpayments is deductible under s [DB 3B](#) of the IT07. For commentary on the allocation of interest income paid by the Commissioner and the deduction of interest paid to the Commissioner, refer to [¶5-281](#) and [¶10-650](#), respectively.

Paying rates

The taxpayer's paying rate and the Commissioner's paying rate are set out in the Taxation (Use of Money Interest Rates) Regulations 1998 as amended from time to time. Different paying rates have been in force for various periods as set out at CCH, *New Zealand Tax Rates, Dates and Depreciation rates 2026*, at [150-083](#).

Interest calculation formula

Interest payable by the taxpayer or the Commissioner is calculated in accordance with a formula for each day of the interest period. The formula is as follows:

$$t \times r \div 365$$

where:

t is the unpaid tax or overpaid tax on which the interest is payable, and

r is the taxpayer's paying rate or the Commissioner's paying rate on the day in question.

The formula is applied for each day of the interest period. Under that approach the amount of interest payable for an interest period becomes the aggregate of the amounts calculated under the formula for each day in the interest period. The amount of interest outstanding at any time in the interest period would be the sum of those amounts less any interest paid.

Example:

For the income year ended 31 March 2XX2 the position concerning provisional tax payments for JRE Ltd was as follows:

	Provisional tax due	Tax payment made
	\$	\$
7 July 2XX1	33,000	15,000
7 November 2XX1	33,000	15,000
7 March 2XX2	<u>33,000</u>	<u>10,000</u>
	99,000	40,000

Tax of \$59,000 was paid on 7 February 2XX3. For the 2XX1–X2 income tax year the taxpayer's paying rate was 7% pa. Interest would be payable by JRE Ltd on the following basis:

- # 8 July 2XX1 to 7 November 2XX1 (123 days) on \$18,000
- # 8 November 2XX1 to 7 March 2XX2 (120 days) on \$36,000
- # 8 March 2XX2 to 7 February 2XX3 (337 days) on \$59,000.

The calculations for interest on unpaid tax comprising provisional tax would be as follows:

		\$
$\frac{18,000 \times 7\%}{365}$	$\times 123 =$	424.60
$\frac{36,000 \times 7\%}{365}$	$\times 120 =$	828.49
$\frac{59,000 \times 7\%}{365}$	$\times 337 =$	<u>3,813.18</u>
		<u>\$5,066.27</u>

Interest rate setting process

The Taxation (Use of Money Interest Rates Setting Process) Regulations 1997 prescribe a process for determination of the taxpayer's paying rate and the Commissioner's paying rate applicable to interest periods. The Regulations require that:

- # the taxpayer's paying rate will be set at the Reserve Bank of New Zealand floating first mortgage new customer housing rate plus 250 basis points, and
- # the Commissioner's paying rate shall be set at the higher of 0% and the Reserve Bank of New Zealand 90-day bank bill rate series less 100 basis points.

Provisional tax and transfers of overpaid tax

The UOMI rules for payments of provisional tax are discussed at [¶22-350–¶22-360](#). For UOMI and transfers of overpaid tax, see [¶22-140](#) and [¶22-352](#).

Tax in dispute

For commentary on UOMI payable on tax in dispute, see [¶4-230](#).

Reliance on Commissioner's official opinions

Where a taxpayer is liable to pay interest on unpaid tax, the taxpayer is not liable to pay interest to the extent that it arises due to reliance on a Commissioner's official opinion ([¶14-115](#)) given on or after 7 September 2010 (s [120W](#) and *Tax Information Bulletin* [¶2210-109 Vol 22, No 10](#), November 2010 at 69–70).

Law: TAA Pt [7](#), ss [120A](#), [120B](#), [120C](#), [120D](#), [120E](#), [120U](#), [120W](#), [183F](#)

Last reviewed on 31 December 2025

Criminal penalties [¶14-230]

[¶14-230]

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Various criminal offences are contained in the TAA in ss [143–148](#). The offences carry substantial fines and, in some cases, a term of imprisonment. Criminal penalties are split into the broad categories of absolute liability offences and knowledge offences. The majority of the offences have been placed in 3 main categories:

- # absolute liability offences for not keeping or providing required information
- # offences for knowingly failing to comply with a tax obligation, and
- # evasion offences.

There are also penalties for the following:

Offences relating to court orders	¶14-270
Offences in relation to inquiries	¶14-275
Obstruction	¶14-280
Aiding and abetting	¶14-285
Offences of employers and officers	¶14-295
Breach of secrecy	¶14-300

Criminal penalties can only be imposed by a court after a successful prosecution by IR. IR can pursue a criminal prosecution under the provisions discussed below in addition to a civil penalty, such as a late payment penalty. However, s [149\(5\)](#) states that if a shortfall penalty has been imposed on a taxpayer for taking an incorrect tax position, the Commissioner may not subsequently prosecute the taxpayer for taking the incorrect tax position.

Two new criminal penalties have been inserted for acquiring or possessing, or manufacturing or supplying an electronic sales suppression tool ([¶14-265](#)).

Law: TAA s [149](#)

Last reviewed on 31 December 2025

Absolute liability offences [¶14-240]

[¶14-240]

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An absolute liability offence is one where failure to do the specified action is sufficient proof that an offence has occurred, so proof of taxpayer knowledge or intent is irrelevant.

“Absolute liability offences” and “strict liability offences” under s [143](#) are committed when a person:

- # does not keep the documents required to be kept by a tax law, or
- # fails to register with a foreign government agency as required under Pt [11B](#) (Foreign account information-sharing agreements), or
- # does not provide information (including tax returns and tax forms) to the Commissioner or any other person when required to do so by a tax law, or
- # does not provide taxable supply information when required to do so under the GST Act, or
- # does not apply for registration when required to do so under the GST Act, or
- # claiming more than one amount of input tax credit for a taxable supply.

The definition of “document” as used in s [143\(1\)\(a\)](#) is intended to cover the medium on which information is stored, the information itself and any device associated with the medium which allows the information to be communicated.

The term “tax return,” as used in s [143](#), includes final accounts under Pt [3](#), subpart [3B](#).

Defences

A person cannot be convicted of an offence of not providing information (other than tax returns and tax forms) under this provision if the person proves that:

- # the person did not have the information in their knowledge, possession or control, and
- # that information was not in the knowledge, possession or control of a non-resident controlled by the person under s [17E\(1\)](#).

A person cannot be convicted of an offence for failing to register with a foreign government agency if the relevant failure to register occurred through no fault of the person.

A person cannot be convicted of an offence under this section for failing to comply with a requirement under the CRS. This is because ss [142H](#) and [142I](#) provide for absolute liability offences in those circumstances ([¶14-048](#)).

A trustee of a foreign trust cannot be convicted of an offence under s [143\(1\)\(a\)](#) for failing to keep the documents required by s [22](#) or under s [143\(1\)\(b\)](#) for not disclosing information required to be disclosed under s [59B](#), if the trustee can prove that:

- # they did not know of the requirements of s [22](#) or [59B](#) (as applicable), and/or
- # another trustee has been appointed as agent (in accordance with either s [22\(2C\)](#) or [59B\(7\)](#) as applicable) to meet those requirements and the Commissioner has been notified of the appointment.

In relation to claiming more than one amount of input tax credit, no person may be convicted of an offence under s [143\(1\)\(d\)](#) if the person took reasonable care when claiming the input tax or corrected the error in a later return.

Penalty

Under s [143\(3\)](#), the penalty for an absolute liability offence is a fine not exceeding:

- # \$4,000 for the first offence
- # \$8,000 for the second offence, and

\$12,000 for any subsequent offence.

Law: TAA ss [3\(1\)](#) ("[document](#)"), [17E\(1\)](#), [143](#)

Last reviewed on 31 December 2025

Knowledge offences [¶14-250]

[¶14-250]

[Click to open document in a browser](#)

A person may be convicted for a number of offences for knowingly breaching a tax obligation. A knowledge offence is committed where a person:

- # knowingly does not keep the documents required to be kept by a tax law, or
- # knowingly fails to register with a foreign government agency as required by Pt [11B](#) (Foreign account information-sharing agreements), or
- # knowingly fails to provide information, including a self-certification, to another person when required to do so under Pt [11B](#) (Foreign account information-sharing agreements), or
- # knowingly does not provide information (including tax returns and tax forms) to the Commissioner or any other person when required to do so by a tax law, or
- # knowingly provides altered, false, incomplete, or misleading information (including tax returns and tax forms) to the Commissioner or any other person in respect of a tax law or a matter or thing relating to a tax law, or
- # knowingly applies or permits the application of the amount of a deduction or withholding of tax made or deemed made under a tax law for any purpose other than in payment to the Commissioner, or
- # knowingly does not make a deduction or withholding of tax required to be made by a tax law, or
- # knowingly does not issue a receipt relating to a supply of distantly taxable goods as required by s [19M\(4\)](#) of the GST Act, or
- # knowingly does not provide information relating to a supply of distantly taxable goods as required by s [12C](#) of the GST Act, or
- # for a recipient of a supply of remote services or, with effect from 23 March 2020, distantly taxable goods from a non-resident supplier, and to avoid the payment of GST, knowingly provides altered, false or misleading information relating to their New Zealand residence or their status as a registered person, or
- # with effect from 23 March 2020, for an underlying supplier of a supply of distantly taxable goods or remote services through a marketplace, knowingly provides altered, false or misleading information relating to the country or territory in which they are resident.

The definition of “document”, as used in s [143A\(1\)\(a\)](#), is intended to cover the medium on which information is stored, the information itself and any device associated with the medium which allows the information to be communicated.

The term “tax return”, as used in s [143A](#), includes final accounts under Pt [3](#), subpart [3B](#).

Penalty

The penalty for commission of a knowledge offence is a maximum fine of:

- # \$25,000 for the first offence, and
- # \$50,000 for any subsequent offence.

However, under s [143A\(8\)](#), the penalty for knowingly not accounting to the Commissioner for a deduction or withholding payment made is imprisonment for up to 5 years and/or a fine of up to \$50,000. Note that this increased penalty does not apply to offences relating to deductions made under attachment notices.

The fine for a person who knowingly does not provide information as required, or knowingly provides altered, false, incomplete or misleading information in relation to the disclosure of trust particulars (s [59](#) of the TAA) or disclosure of an interest in a foreign company or a foreign investment fund (s [61](#) of the TAA), is a maximum of \$50,000 (s [143A\(9\)](#)).

Defences

No conviction is possible for the offence of knowingly failing to provide information to a person when required to do so under Pt [11B](#) (Foreign account information-sharing agreements) or for knowingly not providing information to the Commissioner (other than tax returns and tax forms) if the person proves that (s [143A\(2\)](#)):

- # the person did not have the information in their knowledge, possession or control, and
- # that information was not in the knowledge, possession or control of a non-resident controlled by the person under s [17E\(1\)](#) of the TAA.

A taxpayer will not be convicted for knowingly applying or permitting to be applied an amount of withholding or a tax deduction for another purpose if the person satisfies the court that the withholding or deduction has been accounted for and the failure to account for it on time was because of illness, accident, or other cause beyond the taxpayer's control (s [143A\(4\)](#)).

From 1 January 2024, no person may be convicted under s [143A](#) for non-compliance for reporting under the model reporting standard for digital platforms or the extended model for digital platforms. These are the reports relating to electronic marketplaces and other digital platforms under the platform economy.

Law: TAA s [143A](#)

Last reviewed on 31 December 2025

Offence of evasion [¶14-260]

[¶14-260]

[Click to open document in a browser](#)

The offence of evasion is committed where a person:

- # knowingly does not keep the documents required to be kept by a tax law, or
- # knowingly does not provide information (including tax returns and tax forms) to the Commissioner or any other person when required to do so by a tax law, or
- # knowingly provides altered, false, incomplete, or misleading information (including tax returns and tax forms) to the Commissioner or any other person in respect of a tax law or a matter or thing relating to a tax law, or
- # knowingly does not make a deduction or withholding of tax required to be made by a tax law, or
- # pretends to be another person for any purpose or reason relating to a tax law

and does so:

- # intending to evade the assessment or payment of tax by the person or any other person under a tax law, or
- # to obtain a refund or payment of tax in the knowledge that the person is not lawfully entitled to the refund or payment under a tax law, or
- # to enable another person to obtain a refund or payment of tax in the knowledge that the other person is not lawfully entitled to the refund or payment under a tax law.

The definition of “document”, as used in s [143B\(1\)\(a\)](#), is intended to cover the medium on which information is stored, the information itself and any device associated with the medium which allows the information to be communicated. The term “tax return” includes final accounts under Pt [3](#), subpart [3B](#). This penalty applies to a repayment obligation under a student loan too.

Evasion of assessment or payment

A person who evades or attempts to evade the assessment or payment of tax by that person or another person is also guilty of evasion. Essentially what this means is that if the act or failure to act does not come within the offences listed in s [143B\(1\)\(a\)–\(e\)](#), then prosecution action can be taken under s [143B\(2\)](#).

Prosecution

Under s [149\(5\)](#), if a shortfall penalty has been imposed on a taxpayer for taking an incorrect tax position, IR may not subsequently prosecute the taxpayer for taking the incorrect tax position.

Under s [149\(4\)](#) a shortfall penalty may be imposed after a prosecution, whether or not the prosecution is successful. If prosecution action for evasion is unsuccessful, a shortfall penalty can still be imposed for evasion or a similar act, because the standard of proof is the “balance of probabilities”, even though the onus of proof still rests with the Commissioner.

However, where the prosecution was unsuccessful this will be taken into consideration. If it was dismissed for a technical reason, then a shortfall penalty may still apply. In contrast, where the evidence before the court was inadequate, it will be unlikely a shortfall penalty can be applied.

Penalties

The penalties for evasion are:

- # imprisonment for a term not exceeding 5 years, or
- # a fine not exceeding \$50,000, or
- # both.

Law: TAA s [143B](#)

Last reviewed on 31 December 2025

Manufacturing, supplying, acquiring or possessing ESS tools [¶14-265]

[¶14-265]

[Click to open document in a browser](#)

IR have introduced 2 new criminal offences related to ESS tools as the spread of ESS tools threatens the integrity of the tax base in more recent years.

An “electronic sales suppression tool” is a software program, device, or other thing that can modify, falsify, destroy or prevent the creation of a record that a person is required to keep under tax law and that records a sale, and the use of which would lead to a reasonable conclusion that one of its principal functions is to facilitate the modification, falsification, destruction or prevention of the creation of a record.

While using a suppression tool constitutes tax evasion and could be penalised under existing anti-evasion provisions, it was not previously illegal to manufacture, sell, buy, or possess such tools. Therefore, the provisions have been inserted into the TAA with application from 30 March 2022.

Offence of manufacturing or providing suppression tools — s 143BB

Section [143BB](#) of the TAA establishes that it is an offence to:

- # manufacture, develop, or publish an ESS tool that is provided to a person who is liable for an ESS penalty, who commits an offence under s [143BC](#), or who commits an offence under s [143BC](#) (see below), or
- # knowingly supply, make available for use, or otherwise provide a suppression tool, or the right to use a suppression tool, to a person resident in New Zealand, or knowingly provide a service to a person resident in New Zealand that includes the use of a suppression tool.

The penalty for committing either offence is a fine up to a maximum of \$250,000.

Offence of acquiring or possessing suppression tools — s 143BC

Section [143BC](#) of the TAA establishes the criminal equivalent of the civil ESS penalty in s [141EE](#) ([¶14-129](#)). Section [143BC](#) makes it an offence for a taxpayer required to keep records under a tax law to knowingly acquire, possess or control a suppression tool, or have a right to use the suppression tool, with the purpose of evading their own or some other person's assessment or payment of tax.

The penalty for committing this offence is a fine of up to a maximum of \$50,000.

Similar to the ESS penalty, a taxpayer who is convicted of an offence under this section is treated as committing a single offence in relation to all tax types and periods, so only one fine is imposed. However, a further penalty may be imposed for a later period of time if the taxpayer continues to possess, control or have the right to use the ESS tool.

Law: TAA ss [143BB](#), [143BC](#)

Last reviewed on 31 December 2025

Offences relating to court orders [¶14-270]

[¶14-270]

[Click to open document in a browser](#)

A person who fails to comply with the terms of a court order made under s [17H](#) commits an offence. Anyone who is convicted of such an offence is liable for up to 3 months imprisonment or a fine of up to \$1,000 for each offence.

Law: TAA s [143G](#)

Last reviewed on 31 December 2025

Offences in relation to inquiries [¶14-275]

[¶14-275]

[Click to open document in a browser](#)

A person commits an offence if that person is:

- # summoned under s [17J](#) of the TAA and refuses or wilfully neglects to appear before the District Court Judge or to take oath as a witness before the District Court Judge, or
- # sworn as a witness at an inquiry under s [17J](#) and refuses or wilfully neglects to answer any question put to them touching upon the subject matter of the inquiry, or
- # required to give evidence under s [17I](#) and refuses or wilfully neglects to appear before the Commissioner or authorised officer or to take an oath as witness before the Commissioner or authorised officer, or
- # sworn as a witness at an inquiry under s [17I](#) and refuses or wilfully neglects to:
 - # answer any question put to them touching upon the subject matter of the inquiry, or
 - # produce to the Commissioner or authorised officer a document required to be produced under s [17I\(2\)](#).

Any person who is convicted of an offence under s [143F\(1\)](#) is liable:

- # for the first offence — to a fine not exceeding \$2,000 and/or \$50 for each day of default
- # for the second offence — to a fine not exceeding \$4,000 and/or \$100 for each day of default
- # for each subsequent offence — to a fine not exceeding \$6,000 and/or \$150 for each day of default.

Law: TAA s [143F](#)

Last reviewed on 31 December 2025

Offence of obstruction [¶14-280]

[¶14-280]

[Click to open document in a browser](#)

An offence is committed by any person who obstructs the Commissioner or an IR officer acting in the lawful discharge of the duties or in the exercise of the Commissioner's or officer's powers under a tax law.

The penalty for this offence is a maximum fine of \$25,000 for the first offence and \$50,000 for subsequent offences. See *Highfield v C of IR* (2000) 19 NZTC 15,609.

For discussion on shortfall penalties that may be increased due to obstruction by the taxpayer, see ¶14-150.

Law: TAA s [143H](#)

Last reviewed on 31 December 2025

Offence of aiding or abetting [¶14-285]

[¶14-285]

[Click to open document in a browser](#)

A person who aids, abets, incites, or conspires with another person to commit an offence also commits an offence and is liable to the same fine and/or term of imprisonment as the principal offender. This could result in a maximum penalty of 5 years' imprisonment.

Set out below are a few general points regarding aiding and abetting.

- # There must be an intention to aid and abet. A passive bystander would therefore be excluded from the definition.

- # A person committing the offence of aiding and abetting does not need to know that they are being assisted by another party.

- # The aider and abettor must have actual knowledge of the essential facts that make up the offence to which they are allegedly a party.

- # The required knowledge may be inferred by a court from consideration of all the relevant circumstances.

- # A secondary party to an offence may be charged with aiding and abetting only if the act relied on occurred before or at the same time as the time of the offence.

For further discussion, see CCH, *A Practical Guide to Tax Penalties in New Zealand*, ¶601. Also see *R v Gill* (1999) 19 NZTC 15,526 (CA) and *Evans v C of IR* (2009) 24 NZTC 23,545 (CA).

Law: TAA s [148](#)

Last reviewed on 31 December 2025

Penalties for offences for which no specific penalty is imposed [¶14-290]

[¶14-290]

[Click to open document in a browser](#)

A person who is convicted of an offence against the TAA or any other Inland Revenue Act for which no specific penalty is prescribed is liable to:

- # a maximum fine of \$15,000 if it is the first time the person is convicted of that type of offence, and
- # a maximum fine of \$25,000 on every subsequent conviction for an offence of the same type.

Law: TAA s [145](#)

Last reviewed on 31 December 2025

Offences of employees and officers [¶14-295]

[¶14-295]

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Under s [147](#) of the TAA, an employee, agent or officer of a body corporate commits an offence if:

- # the body corporate commits an offence (the principal offence), and
- # the principal offence:
 - # was caused by an act or omission of the employee, agent or officer, or through knowledge attributable to them, or
 - # is evasion committed by the employee, agent or officer.

An employee or officer of a body corporate includes anyone who is responsible for undertaking an action on the body corporate's behalf.

An employee, agent or officer who does or carries out an act or omission, or has the knowledge or intent (as described above), is liable on conviction for the same maximum fine and/or term of imprisonment that applies for committing the principal offence.

Law: TAA s [147](#)

Last reviewed on 31 December 2025

Offences for disclosure of sensitive revenue information [¶14-300]

[¶14-300]

[Click to open document in a browser](#)

A number of offences are provided in ss [143C](#), [143D](#) and [143E](#) of the TAA in relation to disclosure of sensitive revenue information by IR officers and other people who might have access to confidential information.

An IR officer who fails to keep confidential all sensitive revenue information or discloses information knowing that it may adversely affect the integrity of the tax system or prejudice the maintenance of the law commits an offence and is liable under s [143C](#) to imprisonment for a period not exceeding 6 months or a fine not exceeding \$15,000 or both.

Similar penalties apply to persons other than IR officers who knowingly fail to complete a certificate of confidentiality before having access to sensitive revenue information or who complete the certificate but nevertheless knowingly disclose the information (s [143D](#)). Certain employers, principals, directors, secretaries, managers, principal officers, etc, will also commit an offence and be liable for the same penalties if they disclose information that comes to their knowledge through the agency of the Commissioner (s [143EB](#)). In addition, allowing employees to access revenue information before signing a confidentiality certificate will mean certain employers, directors, etc commit an offence and will be liable under s [143E](#) for a fine not exceeding \$15,000.

Law: TAA ss [143C](#)–[143EB](#)

Last reviewed on 31 December 2025

Proceedings for offences [¶14-320]

[¶14-320]

[Click to open document in a browser](#)

Matters relating to the proceedings for an offence, the filing of a charging document, including time limits, and evidence are set out in ss [149B–152](#) of the TAA.

Charging document may charge several offences

A charging document may charge a defendant with more than one offence against the TAA, or against the provisions of any former Act, if those offences arise from the same set of facts, or are part of a series of offences of the same or a similar character. In this situation, all of the charges will generally be heard together (s [150](#) of the TAA).

Charging document may be filed within 10 years for income tax and GST offences

A charging document for offences may be filed within 10 years after the termination of the year in which the offence was committed. This will apply where the offence against the TAA relates to a tax law that is a provision of the IT07 or the GST Act or to an obligation that exists in relation to either of those Acts (s [150A\(1\)–\(2\)](#) of the TAA).

Evidence in proceeding for failure to furnish returns or information

A signed certificate from the Commissioner stating that the tax return, information and/or documents have not been received within the required time frame will be sufficient evidence, for the purpose of the proceeding, that the person has refused or failed to provide the return, information and/or documents.

Law: TAA ss [149B–152](#)

Last reviewed on 31 December 2025

Deduction of tax from payments due to defaulters [¶14-330]

[¶14-330]

[Click to open document in a browser](#)

The Commissioner may issue a notice requiring a person who owes money to a defaulting taxpayer to pay the funds to the Commissioner instead. This procedure, which is authorised by s [157](#) of the TAA, applies in the case of unpaid income tax, UOMI or a civil penalty. Interest accruing on the unpaid amount after the deduction notice is issued may also be demanded.

Under s [157A](#), a person who is not an employer and who has received a notice requiring deductions to be made commits an offence by not complying with the notice. Interest and civil penalties, however, are not payable.

The most common occasion on which the Commissioner exercises this power is in respect of payments of salary or wages to employees who have an unpaid tax liability. Of course, the Commissioner's powers are not confined to that situation. The Commissioner may issue s [157](#) notices to banks, building societies, legal practitioners or others who may be holding funds belonging to or due to become payable to the taxpayer ([¶12-190](#)).

Law: TAA ss [157](#), [157A](#)

Last reviewed on 31 December 2025

Standard of proof and onus of proof — criminal proceedings [¶14-360]

[¶14-360]

[Click to open document in a browser](#)

The standard of proof in criminal proceedings relating to the imposition of penalties is “beyond reasonable doubt”. The onus of proof in criminal proceedings rests with the Commissioner.

Law: TAA s [149A\(3\)](#), [\(4\)](#)

Last reviewed on 31 December 2025